



## **INSURANCE AND PENSIONS COMMISSION (IPEC)**



### **SHORT TERM (NON-LIFE) INSURANCE REPORT**

**FOR THE QUARTER ENDED 31 MARCH 2014**

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## List of Acronyms and Abbreviations

|                 |   |                                   |
|-----------------|---|-----------------------------------|
| GPW             | — | Gross Premium Written             |
| IBNR            | — | Incurred But Not Reported         |
| IPEC/Commission | — | Insurance and Pensions Commission |
| NEP             | — | Net Earned Premium                |
| NPW             | — | Net Premium Written               |
| ROA             | - | Return on Assets                  |
| ROE             | — | Return on Equity                  |
| UPR             | — | Unearned Premium Reserve          |

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

## Executive Summary

This report details the performance and developments that took place in the non-life insurance industry during the quarter ended 31 March 2014. Following the deregistration of five underwriters during the quarter under review, the number of registered and operational insurance companies and reinsurers was twenty five (25) and nine (9) respectively. There were no changes in the number of registered insurance and reinsurance brokers. Total gross premium written by non-life insurers increased by 6.82% from \$66.68 million for the quarter ended 31 March 2013 to \$71.23 million for the quarter ended 31 March 2014. Out of the business written, \$35.39 million was ceded to reinsurers, of which \$15.58 million was ceded through reinsurance brokers. Insurance brokers wrote business with total premium amounting to \$24.64 million which constituted 34.60% of total GPW reported by non-life insurers. The major sources of business in the short term insurance industry remained motor and fire insurance. As at 31 March 2014, twelve (12) operating insurance companies were already compliant with the regulatory minimum capital requirement of \$1.5 million effective 30 June 2014. Total assets for the non-life insurance industry increased from \$327.56 million as at 31 December 2013 \$344.37 million as at 31 March 2014. All the short term underwriters except FBC Reinsurance Company were **not compliant** with the prescribed assets ratio. Only seven underwriters had investments in prescribed assets. On average, there were no significant changes in the risk appetite for short term underwriters as evidenced by negligible changes in industry average retention ratios with direct underwriters reporting an average retention ratio of 50.30% for the quarter ended 31 March 2014. On the other hand reinsurers reported an average retention ratio of 72.36%. Profitability improved for both direct insurance companies and reinsurance companies. Total profit after tax for non-life insurers increased from \$3.31 million for the quarter ended 31 March 2013 to \$3.59 million for the quarter ended 31 March 2014. On the other hand, profit after tax for reinsurers decreased from \$3.03 million for the quarter ended 31 March 2013 to \$2.34 for the quarter ended 31 March 2014.

## **SECTION A**

### **1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES**

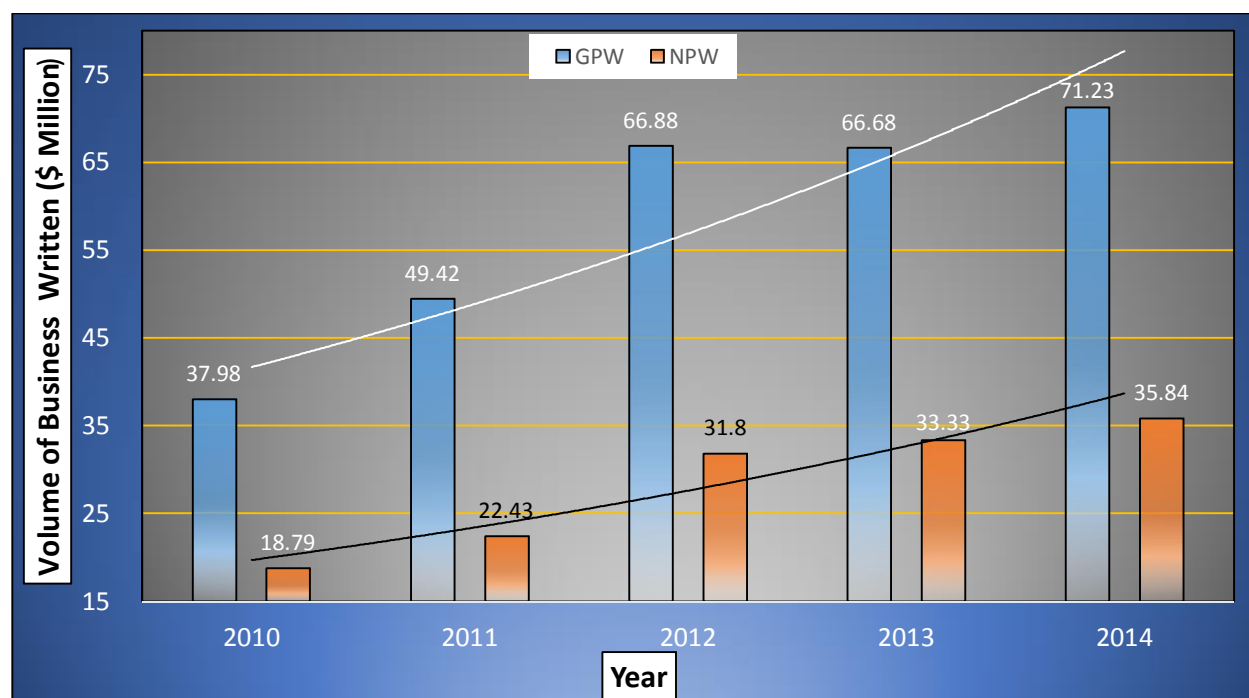
## 1.1. Number of Direct Non-life Insurers

Following the cancellation of registration of four insurers namely Agricultural Insurance Company, Jupiter Insurance Company, SFG Insurance Company, Suremed Health Insurance Company, during the quarter under review, the number of registered and operational non-life insurers decreased from twenty nine (29) as at 31 December 2013 to twenty five (25) as at 31 March 2014. The Commission suspended Altfin Insurance Company from initiating as well as renewing insurance business with effect from 14 April 2014. This brings the number of registered companies not operating to two (2) since ECGC remain suspended from initiating new business.

## 1.2. Trend and Distribution of Business

The volume of business written continued on the upward trend since 2009. In the quarter ended 31 March 2014 total gross premium written amounted to \$71.23 million reflecting a 6.82% percentage increase from \$66.68 million reported in the comparative period in 2013. The business retained by non-life insurers has also been increasing since the inception of the multicurrency regime in 2009. During the quarter ended 31 March 2014 the total net premium written amounted to \$35.84 million compared to \$33.33 million reported for the quarter ended 31 March 2013. The trend in the volume of business written is as shown in Figure 1 below.

**Figure 1: Trend in Volume of Business Written in the First Quarter Since 2010**



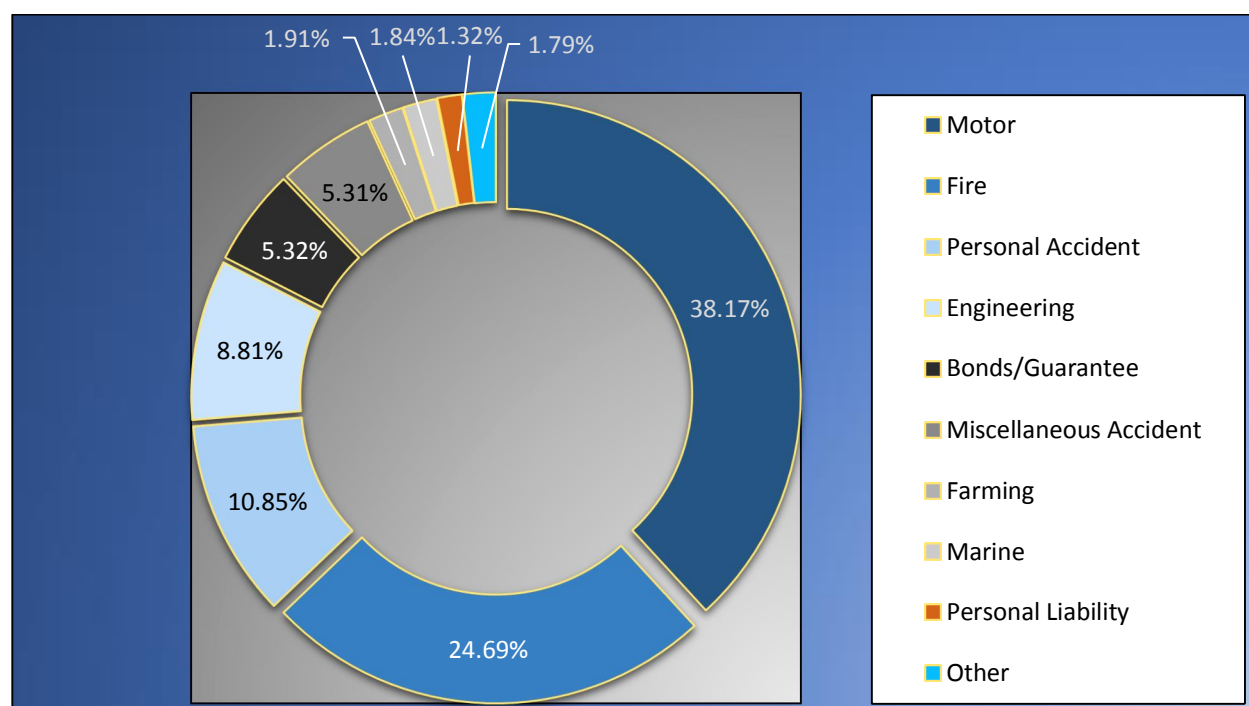
The growth in the volume of business witnessed during the quarter under review was mainly driven by increments in business generated from engineering and personal accident insurance which amounted to \$1.87 million and \$1.69 million respectively. This shows a departure from the previous years where the major drivers of growth in the volume of business written were motor and fire insurance. Aviation and engineering insurance were the fastest growing classes of business with percentage growths of 156.74% and 42.63% as shown in table 1 below. The least performing classes of business in terms of growth in GPW were hail and health insurance. Table 1 below shows changes in GPW for all classes of business.

**Table 1: Gross Premium Written by Class of Business**

| Class of Business      | Gross Premium Written (\$) |                   | Percentage Change |
|------------------------|----------------------------|-------------------|-------------------|
|                        | 31 March 2013              | 31 March 2014     |                   |
| Aviation               | 199,990                    | 513,455           | 156.74%           |
| Bonds/Guarantee        | 4,533,163                  | 3,787,573         | -16.45%           |
| Engineering            | 4,397,580                  | 6,272,250         | 42.63%            |
| Farming                | 1,011,939                  | 1,362,176         | 34.61%            |
| Fire                   | 16,394,553                 | 17,583,605        | 7.25%             |
| Hail                   | 338,457                    | 32,244            | -90.47%           |
| Health                 | 381,263                    | 184,200           | -51.69%           |
| Hire Purchase          | 585,749                    | 544,962           | -6.96%            |
| Marine                 | 1,329,971                  | 1,309,707         | -1.52%            |
| Miscellaneous Accident | 4,752,254                  | 3,780,522         | -20.45%           |
| Motor                  | 25,755,510                 | 27,185,100        | 5.55%             |
| Personal Accident      | 6,036,541                  | 7,730,608         | 28.06%            |
| Personal Liability     | 961,984                    | 940,996           | -2.18%            |
| <b>Total</b>           | <b>66,678,954</b>          | <b>71,227,398</b> | <b>6.82%</b>      |

Notwithstanding the fact that motor and fire insurance ceased to be the major drivers of growth in the quarter under review, the two classes remained the dominant classes of business accounting for 38.17% and 24.69% of total gross premium written during the quarter ended 31 March 2014 respectively. Figure 2 below shows the distribution of total gross premium written during the quarter under review in different classes of business.

**Figure 2: Distribution of Insurers' Gross Premium Written by Business Class**



### 1.3. Capitalization

Out of the twenty five non-life insurance companies that were operational as at 31 March 2014, **twelve (12)** were already compliant with the minimum capital requirement of \$1.5 million that is effective on 30 June 2014. The remainder of insurers reported capital levels ranging from \$0.52 million to \$1.49 million as shown in Table 2 below. The average capital maintenance ratio for thirteen (13) insurers who did not comply with the minimum capital requirement was 73.76% as at 31 March 2014. This implies that, on average, the capital position of the thirteen insurers fell short of the minimum capital requirement by \$0.39 million.

The Commission conducted an inspection during the quarter under review on Altfin Insurance Company which revealed that the institution's capital position was worse than what they reported, after disqualifying some assets which they had reported. Table 3 below shows the trend in capital positions for all insurers.

The Commission encourages all insurers who fail to comply with the minimum capital requirements to consider merging, if other capital raising initiatives are not fruitful.

**Table 2: Capital Positions for Non-life Insurers**

| Name of Insurance Company       | Reported Capital Position (\$) |           |            |            |
|---------------------------------|--------------------------------|-----------|------------|------------|
|                                 | 31-Dec-12                      | 30-Sep-13 | 31-Dec-13  | 31-Mar-14  |
| Alliance Insurance Company      | 3,435,806                      | 3,639,915 | 4,044,230  | 4,191,502  |
| Allied Insurance Company        | 452,185                        | 753,788   | 741,791    | 773,347    |
| Altfin Insurance Company        | 1,437,855                      | 1,119,000 | 1,335,000  | 1,048,000  |
| C.B.Z Insurance Company         | 1,171,680                      | 1,641,790 | 1,629,795  | 1,633,044  |
| Cell Insurance Company          | 1,669,291                      | 4,142,804 | 5,132,777  | 2,719,408  |
| Champions Insurance Company     | 1,125,695                      | 1,229,372 | 1,655,678  | 1,642,987  |
| Clarion Insurance Company       | 1,391,971                      | 1,640,490 | 1,113,360  | 1,491,570  |
| Credit Insurance Zimbabwe       | 2,990,977                      | 3,396,629 | 2,791,206  | 2,734,822  |
| Eagle Insurance Company         | 2,191,083                      | 2,569,741 | 3,574,437  | 3,187,280  |
| Evolution Insurance Company     | 1,346,534                      | 1,424,458 | 1,515,876  | 1,655,555  |
| Excellence Insurance Company    | 410,776                        | 171,407   | 319,729    | 515,551    |
| Global Insurance Company        | 1,015,060                      | 1,063,470 | 1,089,389  | 1,016,712  |
| Hamilton Insurance Company      | 736,432                        | 1,031,489 | 953,731    | 843,511    |
| Heritage Insurance Company      | 1,486,757                      | 1,930,948 | 1,733,475  | 970,192    |
| KMFS Insurance Company          | 956,857                        | 807,906   | 1,101,418  | 1,090,750  |
| Nicoz Diamond Insurance Company | 8,952,658                      | 9,316,000 | 9,614,000  | 10,966,000 |
| Quality Insurance Company       | 1,087,414                      | 1,342,000 | 1,411,000  | 1,163,000  |
| Regal Insurance Company         | 943,842                        | 2,396,498 | 2,522,191  | 2,659,896  |
| RM Insurance Company            | 6,800,381                      | 9,921,819 | 11,648,111 | 12,778,150 |
| Safel Insurance Company         |                                |           | 1,405,056  | 1,388,844  |
| Sanctuary Insurance Company     | 1,392,199                      | 1,353,105 | 677,031    | 1,348,702  |
| Tetrad Hail Insurance Company   | 3,031,567                      | 3,546,726 | 3,961,574  | 3,494,137  |
| Tristar Insurance Company       | 2,123,067                      | 1,167,477 | 939,365    | 1,077,435  |
| Zimnat Lion Insurance Company   | 3,121,954                      | 3,662,023 | 3,822,754  | 3,822,754  |

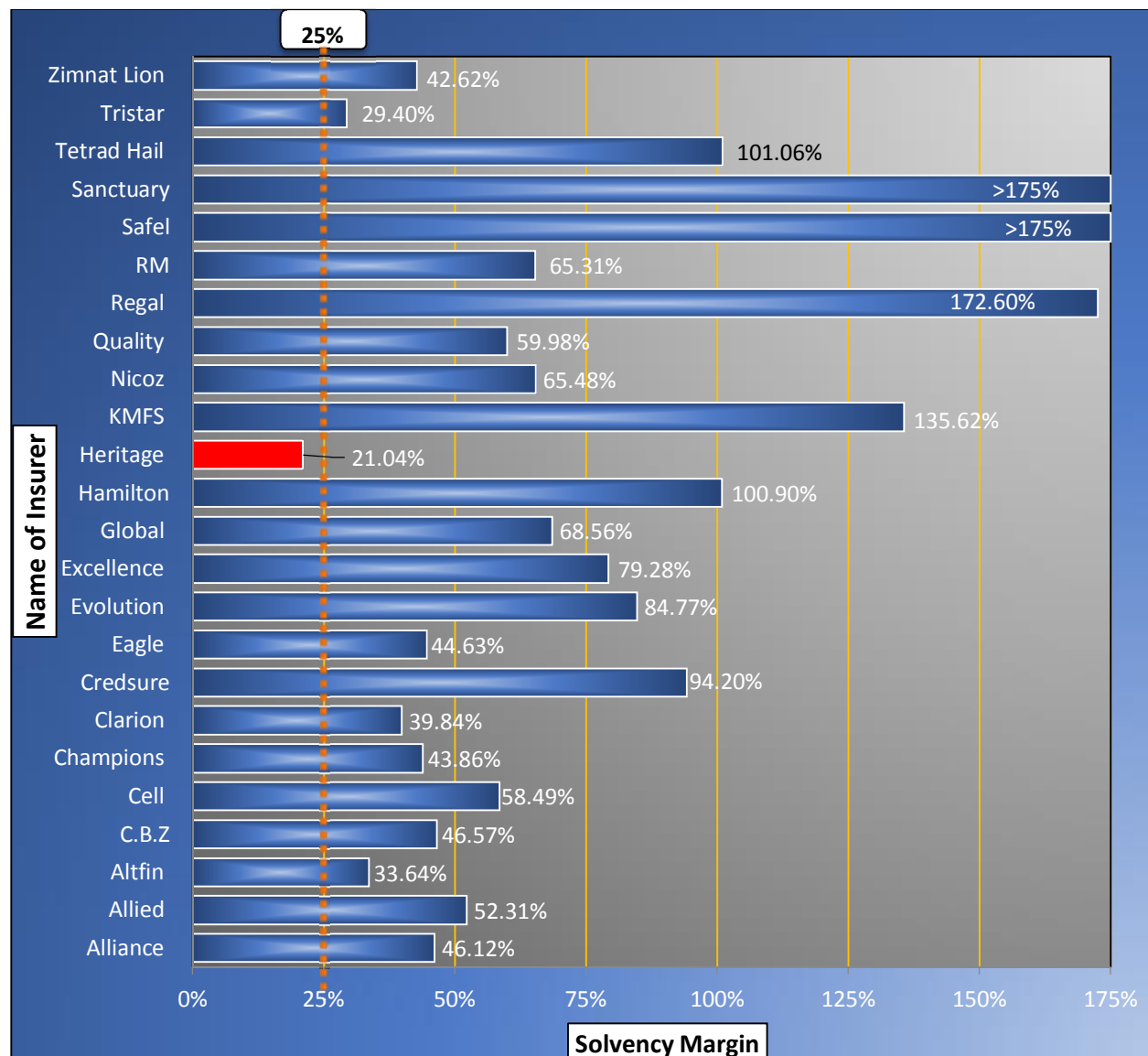
Key:

|  |                                                                                                                                                                           |
|--|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | The insurer was already compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.                                                           |
|  | The insurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million effective 30 June 2014. |
|  | The insurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.                                                              |

Of all the insurers which were operational as at 31 March 2014, only Heritage Insurance Company reported a solvency margin which was below the prudential minimum of 25%. The decrease in Heritage Insurance Company's solvency was mainly attributable to shrinking retained income from \$0.85 million as at 31 December 2013 to \$0.091 million as at 31 March 2014.

Non-life insurers reported an industry average solvency margin of 60.71% as at 31 March 2014, reflecting a marginal improvement from 58.87% reported as at 31 December 2013. Figure 3 below shows solvency margins for all the non-life insurers as at 31 March 2014. Other key performance indicators in respect of capital adequacy are shown in Appendix 1C.

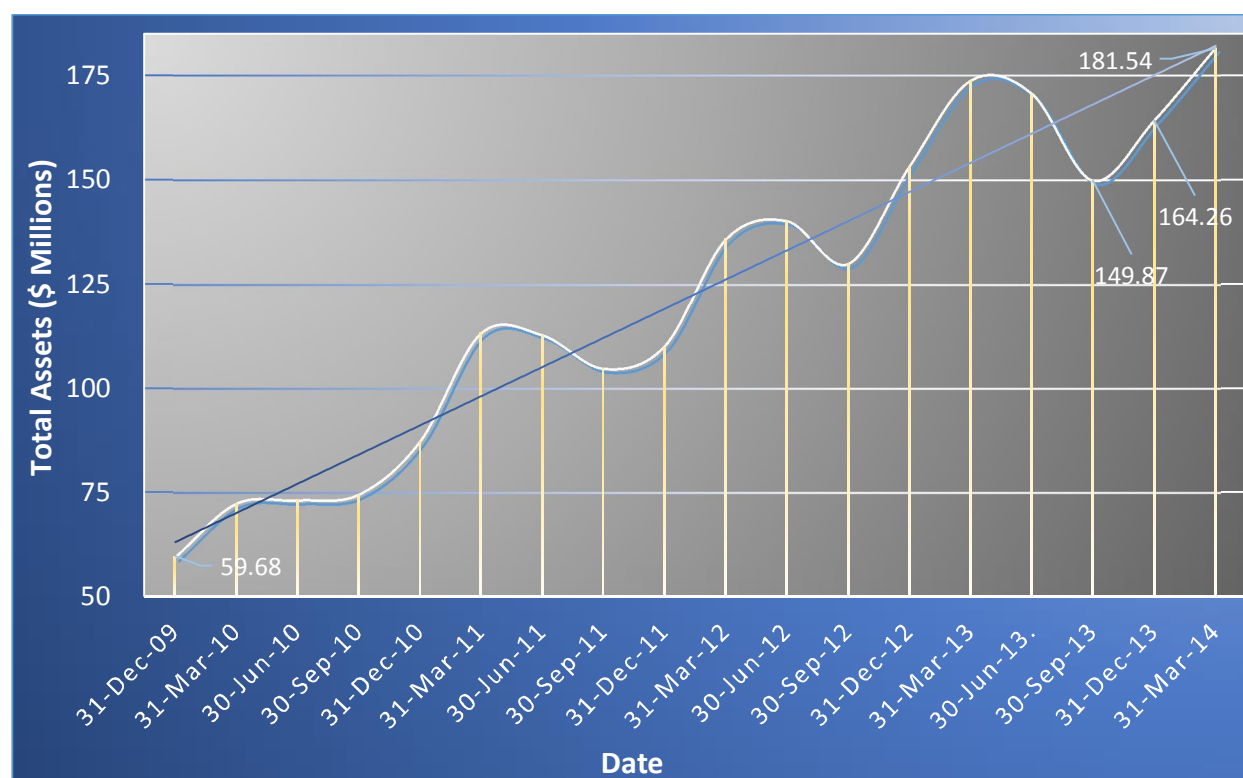
**Figure 3: Solvency Margin for Non-life Insurers**



## 1.4. Asset Quality

Total assets for non-life insurers amounted to \$181.54 million as at 31 March 2014, reflecting a 10.52% increase from \$164.26 million reported as at 31 December 2013. This shows that total assets continued on the upward trend since 2009 as shown in Figure 4 below. The growth in total assets experienced during the quarter under review was mainly driven by increases in premium debtors and money market investments which amounted to \$30.93 million and \$26.70 million respectively. Growth driven by premium debtors may not be sustainable in the long term given that some debtors may not be fully recoverable. In addition, premium debtors are not readily available for use by the insurers on a day to day basis.

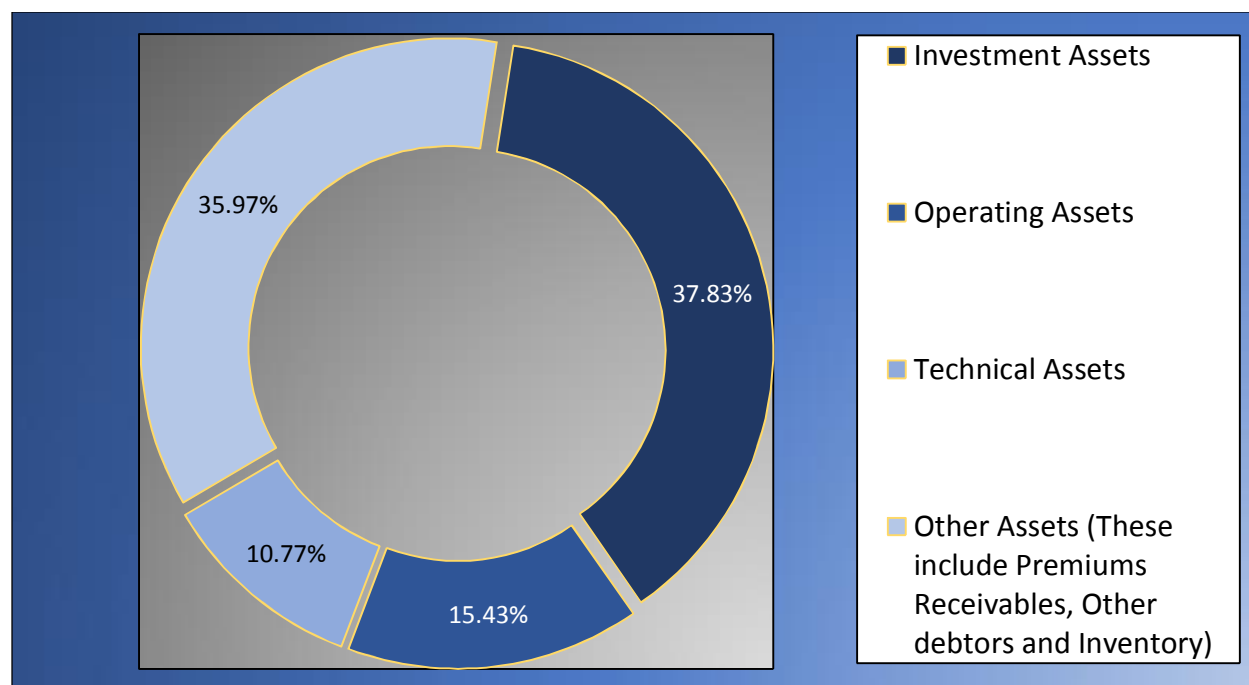
**Figure 4: Quarterly Trend in Total Assets since 2009**



The distribution of the asset base for non-life insurers remained largely unchanged with investment assets accounting for 37.83% of total assets as at 31 March 2014. Total investment assets amounted to \$68.18 million. The relatively low proportion of total assets attributable to investment assets may imply that some insurers are not complying with *section 29* of the Insurance Act [Chapter 24:07] which requires establishment of an insurance fund using funds generated from its revenue.

In addition, less investment assets implies that the income generating capacity of assets is compromised. Figure 5 below shows the distribution of total assets as at 31 March 2014.

**Figure 5: Breakdown of Short-Term Insurers' Total Assets**

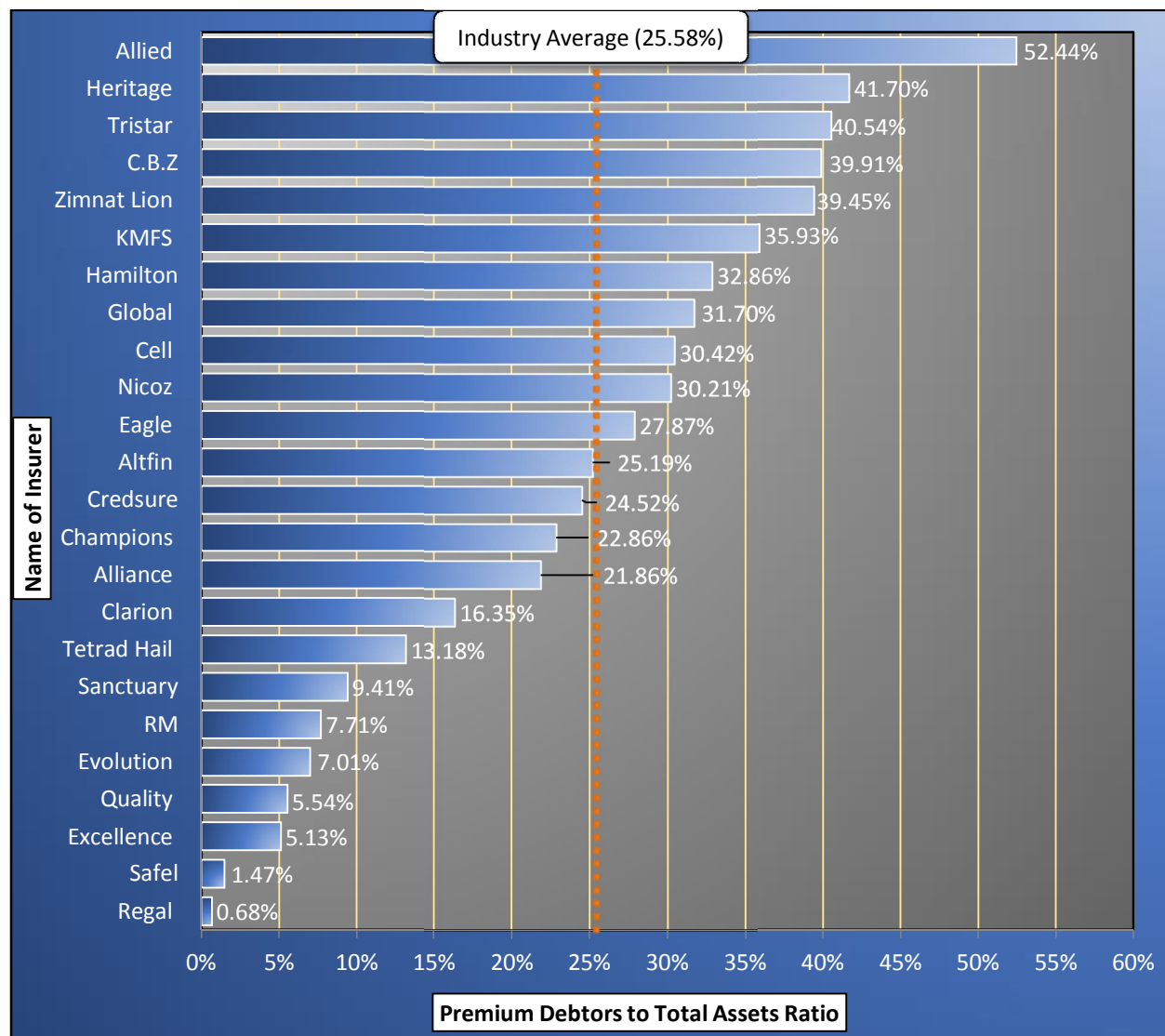


*NB: Operating Assets are those assets acquired for use in the conduct of ongoing operations. Technical assets refers to reinsurers' share of outstanding claims and deferred acquisition cost.*

All the non-life insurers were not compliant with the minimum prescribed assets ratio of 5% as at 31 March 2014 with an industry average prescribed asset ratio remaining largely unchanged at 0.50%. Only six (6) non-life insurers out of twenty five (25) had investments in prescribed assets. All insurers are encouraged to make efforts to comply with the prescribed assets ratio, failure of which the Commission will take necessary regulatory action.

The industry average ratio of premium debtors to total assets deteriorated marginally from 23.83% as at 31 December 2013 to 25.58% as at 31 March 2014. Allied Insurance Company, Heritage Insurance Company and Tristar Insurance Company reported the highest premium debtors to asset ratios as shown in Figure 6 below. High premium debtors to total asset ratios compromises asset quality of an insurer, as well as its liquidity and solvency.

**Figure 6: Premium Debtors to Total Assets Ratios**

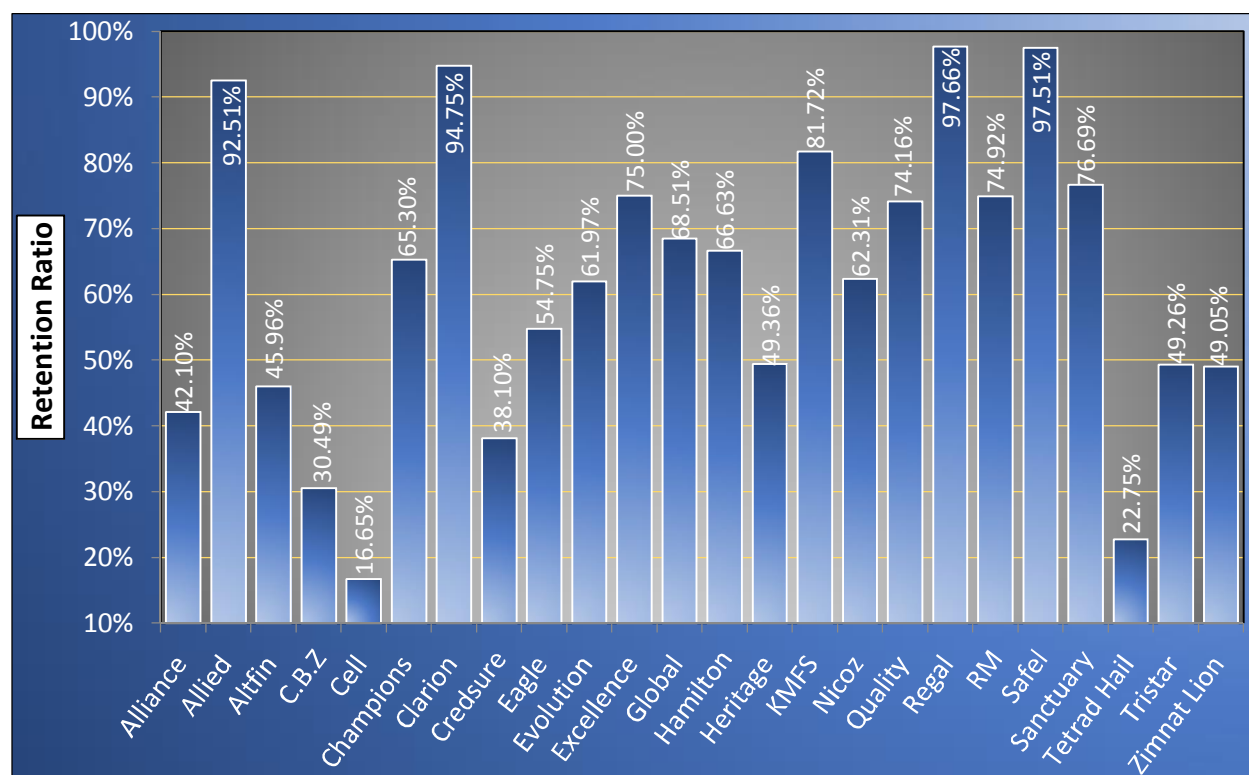


The non-life insurers reported an improvement in premium collection rate as evidenced by the decrease in premium debtors to gross premium from 69.57% for the quarter ended 31 March 2013 to 65.21% during the quarter ended 31 March 2014. However, some insurers were yet to receive premium for business written during the year ended 31 December 2013 as shown by the ratios which were above 100% (See Appendix 1C). KMFS Insurance Company, Allied Insurance Company and Altfin Insurance Company reported the poorest collection rate compared to their peers.

## 1.5. Reinsurance

Non-life insurers reported an average retention ratio of 50.30% for the quarter ended 31 March 2014 compared to 49.99% which was reported in the comparative period in 2013. The retention ratios for individual insurers ranged from 16.65% to 97.66%. Figure 7 below shows the retention ratios for all the insurers for the quarter ended 31 March 2014.

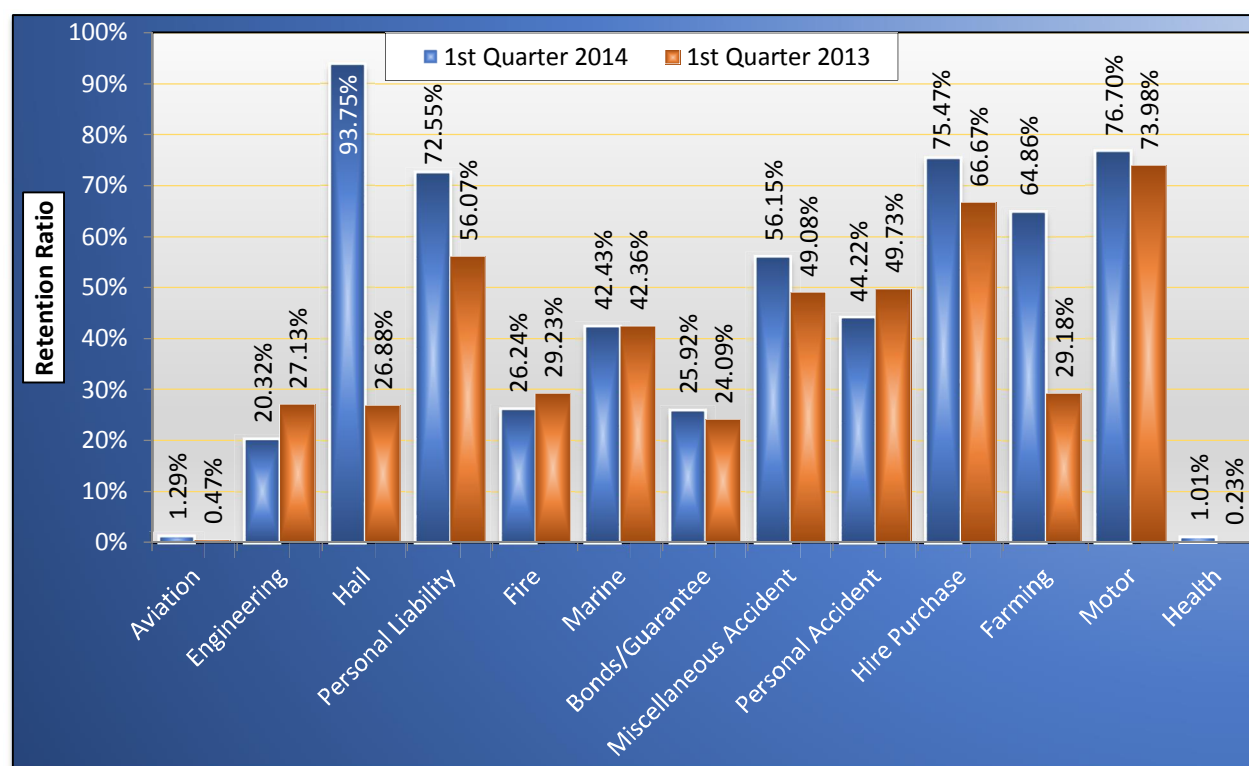
**Figure 7: Retention Ratios for Short Term Insurance Companies**



There was a marginal improvement in reinsurance premium remittances as evidenced by the decrease in reinsurance creditors to reinsurance premium ratio from 106.09% for the quarter ended 31 March 2013 to 102.61% for the quarter under review. Notwithstanding the improvement, the ratio of reinsurance creditors to reinsurance premium was not in line with the premium debtors to gross premium ratio which was 65.21%. This may imply that, although in some cases insurers failure to pay all reinsurance premiums is due to the ultimate policyholders not having paid, there is a significant number of cases where ultimate policyholders will have paid their premiums yet insurers delay remitting reinsurance premiums.

Hail and motor insurance are the business classes which reported the highest retention ratios during the quarter under review as shown in Figure 8 below. Notable increases in risk appetite were witnessed in hail and farming insurance. On the other hand, health and aviation insurance recorded the lowest retention ratios of 1.01% and 1.29% respectively.

**Figure 8: Non-life Insurers' Average Retention Ratios for Different Classes of Business**



The proportion of outstanding claims recoverable from reinsurers was 52.37% as at 31 March 2014 compared to 60.72% which was reported as at 31 December 2013. This reflects a decline in inherent exposure in credit risk embedded in reinsurance arrangements.

## 1.6. Actuarial Liabilities

Total Unearned Premium Reserves (UPR) amounted to \$31.63 million as at 31 March 2014 reflecting an increase from \$27.45 million reported as at 31 December 2013. On the other hand, total Incurred But Not Reported (IBNR) claims decreased from \$9.83 million as at 31 December 2013 to \$9.01 million as at 31 March 2014.

The sector recorded a marginal deterioration in its ability to withstand adverse events. This is evidenced by the increase in the average technical reserves to capital ratio as well as total outstanding claims to capital ratios from 57.42% and 30.15% as at 31 December 2013 to 60.74% and 30.58% as at 31 March 2014 respectively.

## **1.7. Earnings**

Non-life insurers witnessed an increase in total profit after tax from \$3.31 million for the quarter ended 31 March 2013, to \$3.59 million for the quarter ended 31 March 2014. The increase in profit after tax was largely attributable to decreases in movements in Unearned Premium Reserves (UPR) and taxation. Return on assets improved marginally from 1.90% for the quarter ended 31 March 2013 to 1.98% for the quarter under review. However, return on equity deteriorated from 6.01% to 5.37%. A total of nine (9) insurers reported losses during the quarter ended 31 March 2014. Six of the nine insurers referred to above reported capital levels which were below the minimum requirement of \$1.5 million effective 30 June 2014. This implies that they may not be able to organically grow their capital to the minimum requirement. (See Appendix 1C for the capital positions and profit after tax for all insurers).

Total underwriting profits increased from \$2.88 million for the quarter ended 31 March 2013 to \$3.76 million for the quarter under review. The increase in underwriting profits translated into the improvement in underwriting margin from 11.79% to 13.38%. The improvement in underwriting margin was buoyed by a decrease in expense ratio from 42.44% to 36.65%.

During the quarter under review a total of \$12.39 million was incurred in terms of net claims compared to \$10.29 million reported in the comparative period in 2013. Underwriting remained the major income driver with investment income accounting for only 2.39% of net premium written (NPW).

## **1.8. Liquidity**

The level of liquid assets improved as reflected by the growth in cash and near cash assets from \$38.1 million as at 31 December 2013 to \$46.84 million as at 31 March 2014. However, the spread of the liquid assets remained concentrated in a few with four insurance companies namely RM Insurance Company, Alliance Insurance Company, Cell Insurance Company and Nicoz Diamond Insurance Company, accounting for 71.37% of total liquid assets. This may be a sign that most companies could be facing liquidity challenges.

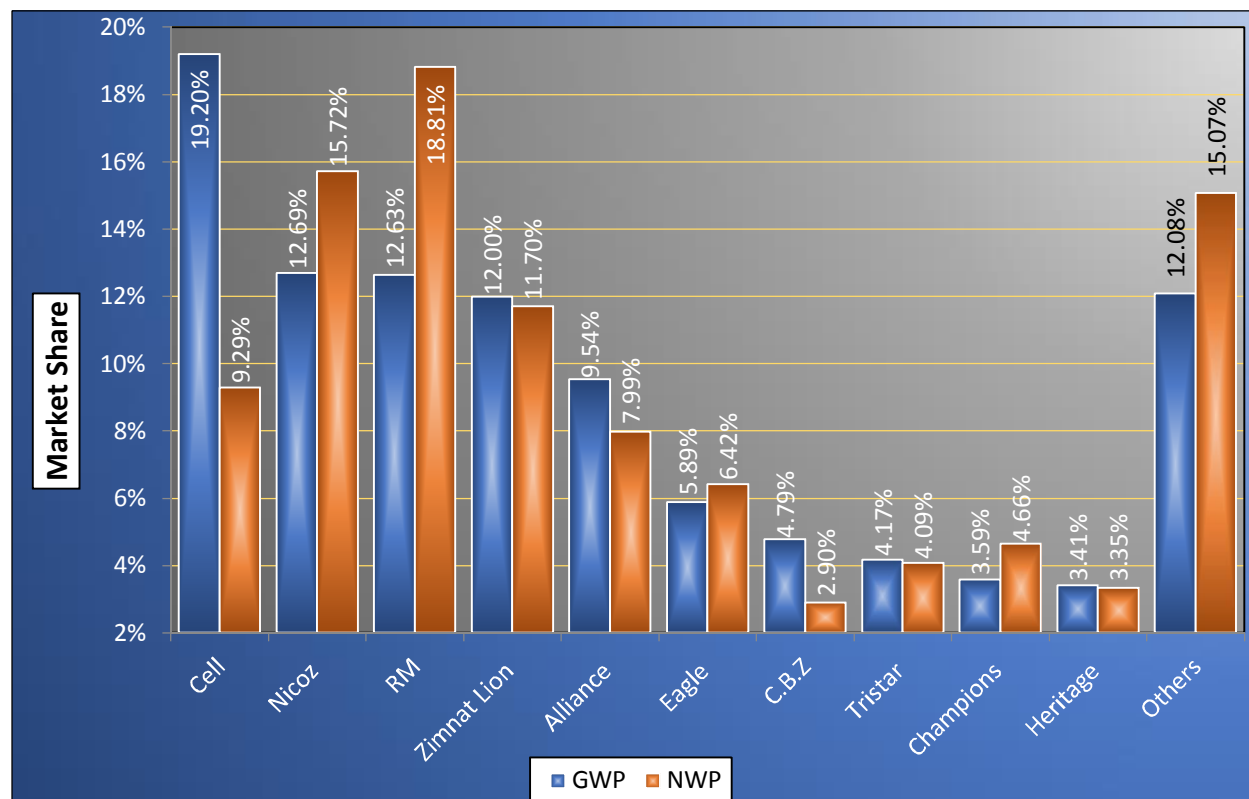
Non-life insurers reported a marginal increase in working capital from \$24.55 million as at 31 December 2013 to \$26.63 million as at 31 March 2014. The increase in working capital resulted in the overall improvement in liquidity as evidenced by the change in the industry average acid test ratio from 41.43% as at 31 December 2013 to 44.58% as at 31 March 2014. The average acid test ratio reported implies that, non-life direct insurers had readily available liquid current assets to cover roughly forty five cents out of every dollar worth of their current liabilities. The acid test ratios for individual insurers as at 31 March 2014 ranged from 0.24% to 171.36% as shown in Appendix 1C.

## **1.9. Market Share for Non-life Insurers**

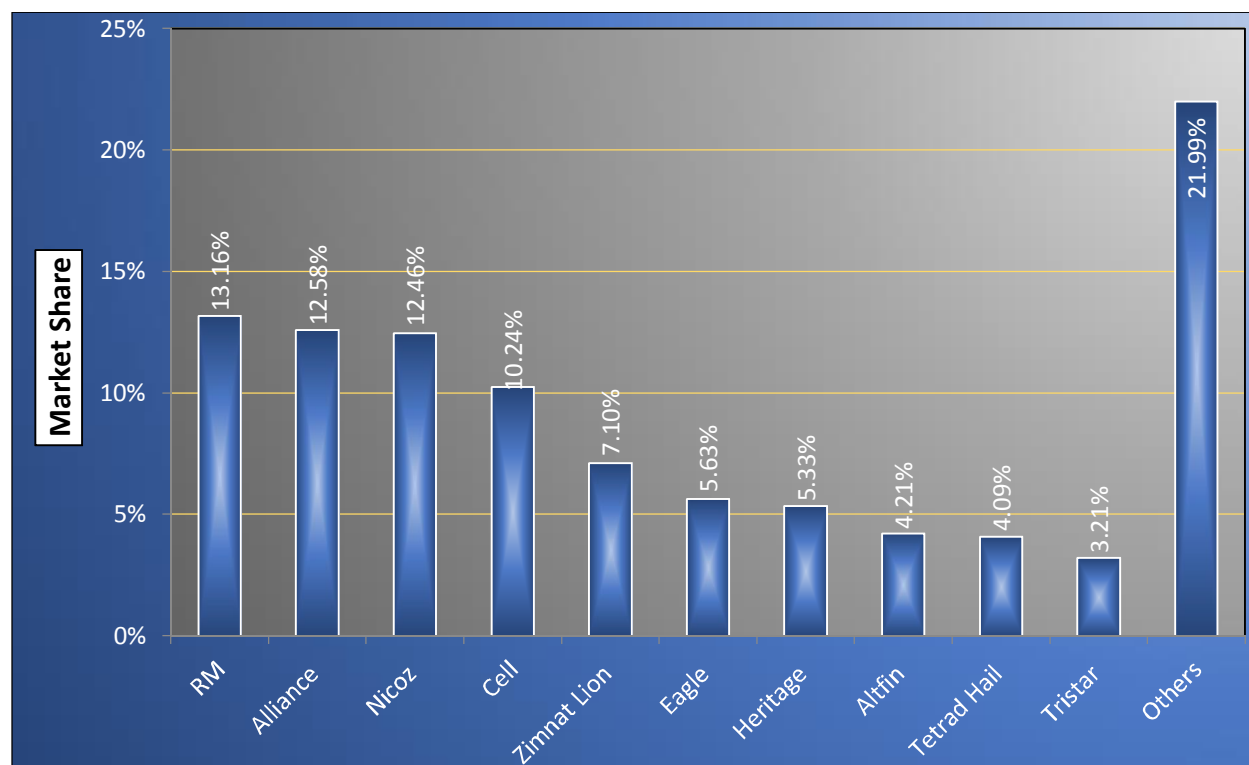
Unlike in the year ended 31 December 2013, the market for non-life insurers was moderately concentrated with Herfindahl Indices of 0.10 in terms of both GPW and NPW for the quarter ended 31 March 2014. Cell Insurance Company, Nicoz Diamond Insurance Company and RM Insurance Company were the top three insurers, in terms of gross premium written with a combined market share of 44.52%. Figure 9 below shows the market share for the short term insurers in terms of the GPW and NPW.

In terms of total assets, RM Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company, were the market leaders with market shares of 13.16%, 12.58% and 12.46% respectively. Figure 10 below shows the market shares of insurers in terms of total assets as at 31 March 2014. The market shares for all insurers are also shown in Appendix 1C.

**Figure 9: Market Share for Insurers in Terms of GPW and NPW**



**Figure 10: Market Share for Insurers in Terms of Total Assets**



## **SECTION B**

### **2. REINSURANCE COMPANIES**

Please note that the figures for Zep-Re used in this report are only for the institution's Zimbabwean Country Office and not for the company as a whole.

## 2.1. Number of Non-life Reinsurers

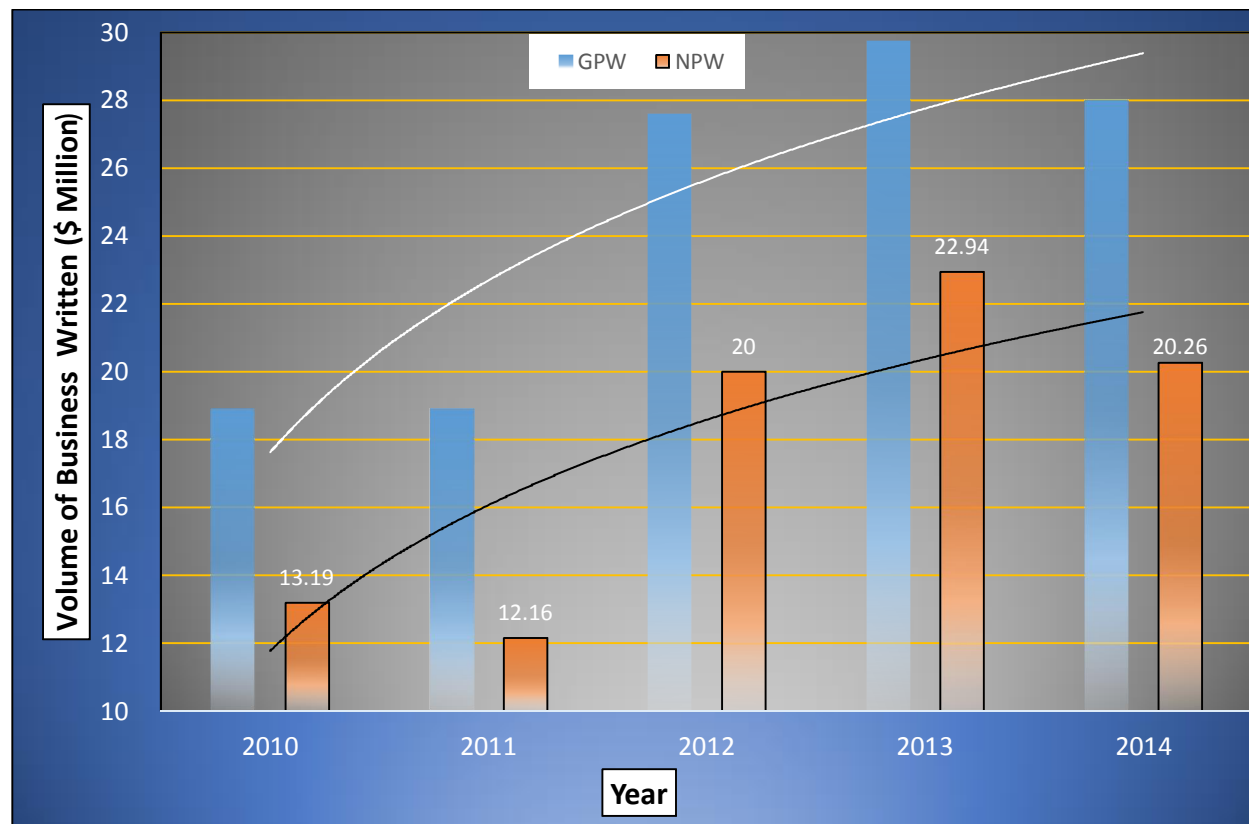
The number of registered reinsurers decreased from ten (10) as at 31 December 2013 to nine (9) as at 31 March 2014 following the cancellation of the registration of Horizon Reinsurance Company.

## 2.2. Trend and Distribution of Business Written

Business written by non-life reinsurers has generally been on an upward trend since the introduction of the multicurrency regime as shown in Figure 11 below. However, during the quarter under review non-life reinsurers witnessed a shrinkage in the volume of business written, in terms of gross premium written, from \$29.74 million for the quarter ended 31 March 2013 to \$28 million for the quarter ended 31 March 2014.

Net premium written decreased from \$22.94 million for the quarter ended 31 March 2013 to \$20.26 million for the quarter under review. The shrinkage in the volume of business written was mainly driven by a decrease in motor insurance business which amounted to \$1.07 million.

**Figure 11: Trend in Volume of Business Written Since 2010**



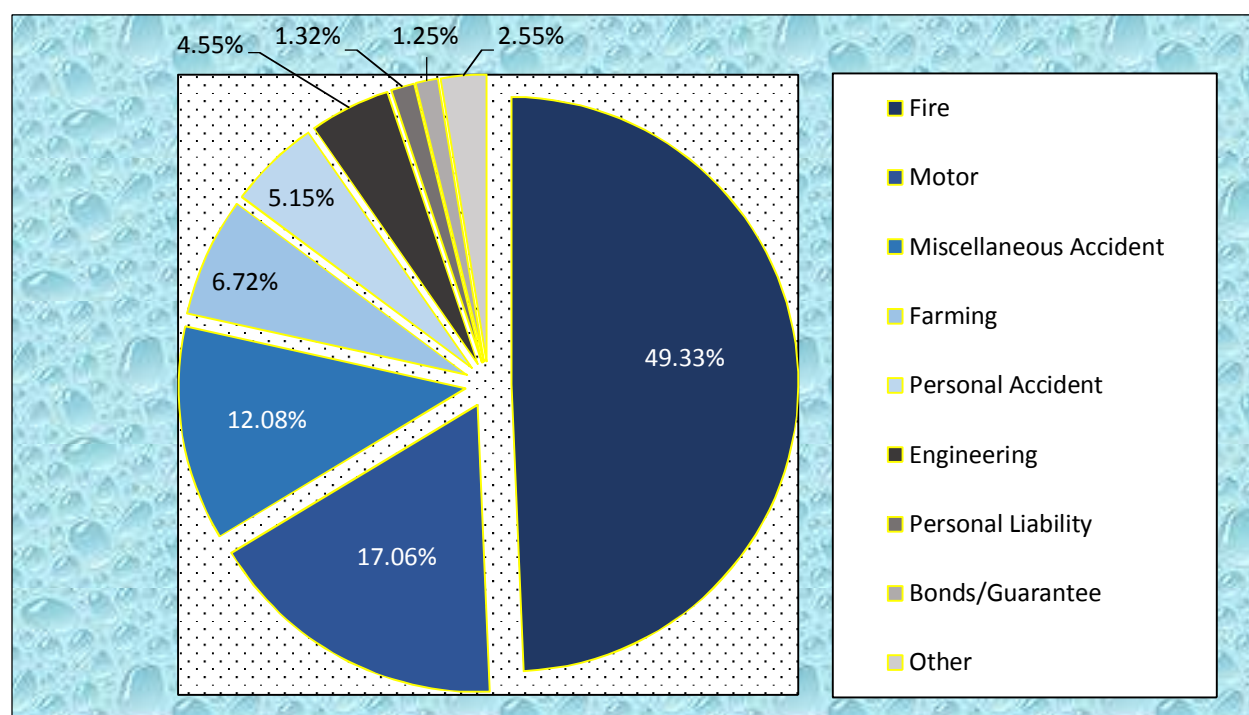
As shown in table 3 below, most business classes recorded shrinkages in volume of business. Aviation and marine insurance decreased at a faster rate than other business classes. On the other hand, personal liability and health insurance reported the highest growth rates compared to other business classes.

**Table 3: Gross Premium Written by Class of Business**

| Class of Business      | Gross Premium Written (\$) |                   | Percentage Change |
|------------------------|----------------------------|-------------------|-------------------|
|                        | 31 March 2013              | 31 March 2014     |                   |
| Aviation               | 989,347                    | 193,580           | -80.43%           |
| Bonds/Guarantee        | 442,660                    | 350,715           | -20.77%           |
| Engineering            | 1,705,943                  | 1,275,156         | -25.25%           |
| Farming                | 1,318,257                  | 1,881,354         | 42.72%            |
| Fire                   | 12,075,655                 | 13,813,280        | 14.39%            |
| Hail                   | -                          | 82,440            | -                 |
| Health                 | 45,590                     | 89,323            | 95.93%            |
| Hire Purchase          | 32,323                     | 28,904            | -10.58%           |
| Marine                 | 736,780                    | 320,439           | -56.51%           |
| Miscellaneous Accident | 4,898,327                  | 3,382,441         | -30.95%           |
| Motor                  | 5,850,131                  | 4,776,126         | -18.36%           |
| Personal Accident      | 1,460,960                  | 1,440,973         | -1.37%            |
| Personal Liability     | 186,363                    | 369,504           | 98.27%            |
| <b>Total</b>           | <b>29,742,336</b>          | <b>28,004,235</b> | <b>-5.84%</b>     |

The dominant classes of insurance business remained fire and motor insurance contributing 49.33% and 17.06% of total gross premium written during the quarter ended 31 March 2014. The proportions of business attributable to different classes of business are shown in Figure 12 below.

**Figure 12: Distribution of Reinsurers' GPW by Business Class**



### 2.3. Capitalization

As shown in Table 4 below all non-life reinsurance companies, except New Reinsurance Company were already compliant with the minimum capital requirement of \$1.5 million as at 31 March 2014. Please note that the figures shown in respect of PTA Reinsurance Company (Zep-Re) are in respect of the company's Zimbabwe country office.

The industry average solvency margin for reinsurers was 94.98% as at 31 March 2014 compared to 92.10% reported as at 31 December 2013. All the reinsurers were compliant with the minimum solvency margin of 25% stipulated in the Insurance Act [Chapter 24:07]. Figure 13 below shows the solvency margins for all the non-life reinsurers. Other indicators of soundness in terms of capital adequacy are shown in Appendix 2C.

**Table 4: Capital Positions for Non-life Reinsurers**

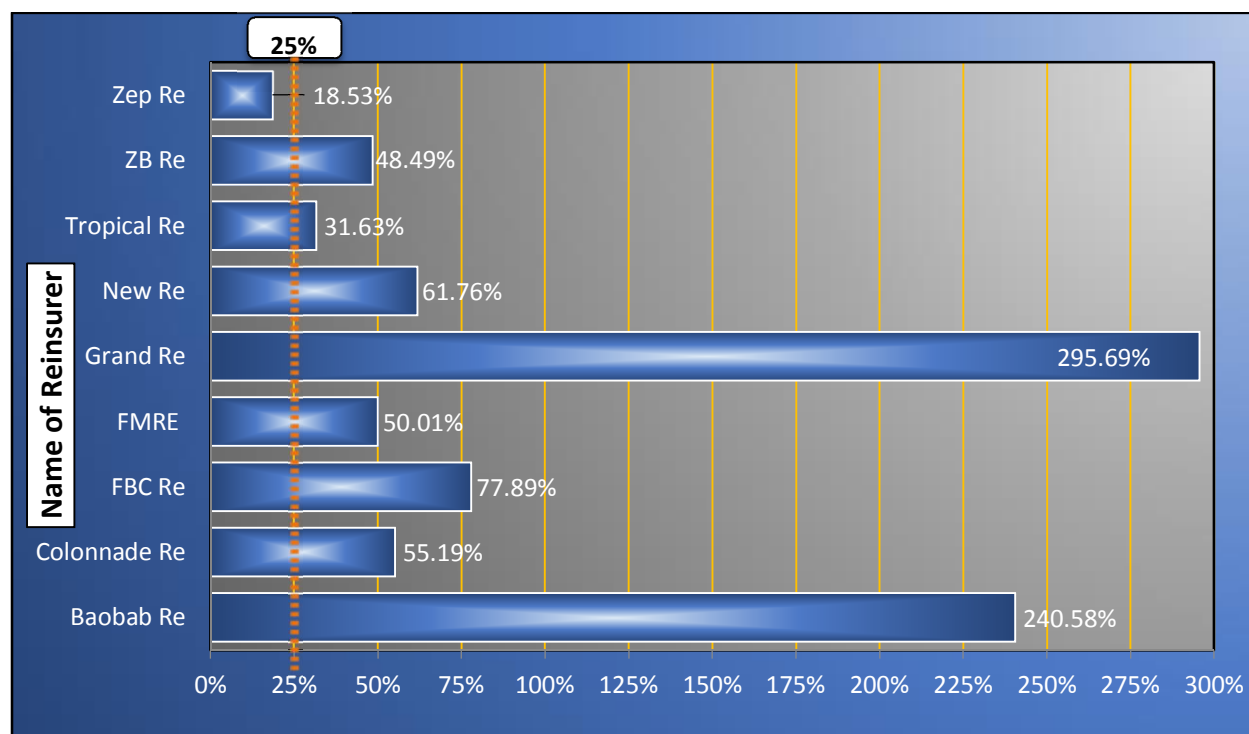
| Name of Company                   | Reported Capital Position (\$) |             |             |             |
|-----------------------------------|--------------------------------|-------------|-------------|-------------|
|                                   | 31 Dec 2012                    | 30 Sep 2013 | 31 Dec 2013 | 31 Mar 2014 |
| Baobab Reinsurance Company        | 27,273,895                     | 30,090,562  | 30,127,167  | 30,305,972  |
| Colonnade Reinsurance Company     | 514,471                        | 1,457,969   | 1,542,528   | 1,688,746   |
| FBC Reinsurance Company           | 6,987,219                      | 8,173,776   | 8,729,648   | 9,029,204   |
| FMRE Property & Casualty          | 5,108,325                      | 5,872,433   | 5,984,592   | 6,320,226   |
| Grand Reinsurance Company         | 9,744,262                      | 9,580,891   | 9,443,454   | 9,742,422   |
| New Reinsurance Company           | 367,415                        | 1,007,000   | 980,000     | 1,045,000   |
| Tropical Reinsurance Company      | 1,778,706                      | 2,239,290   | 2,323,580   | 2,778,270   |
| ZB Reinsurance Company            | 3,773,224                      | 6,722,390   | 7,015,442   | 7,220,570   |
| PTA Reinsurance Company (Zep Re)* | 983,000                        | 552,587     | 626,075     | 732,756     |

\*The audited capital position for Zep Re as at 31 December 2013 was \$105.73 million.

**Key:**

|  |                                                                                                                                                                             |
|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | The reinsurer was already compliant with the minimum capital requirement of \$1.5 million effective 30 June 2014.                                                           |
|  | The reinsurer was compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013, but was yet to comply with \$1.5 million effective 30 June 2014. |
|  | The reinsurer was not compliant with the minimum capital requirement of \$0.75 million effective 30 June 2013.                                                              |

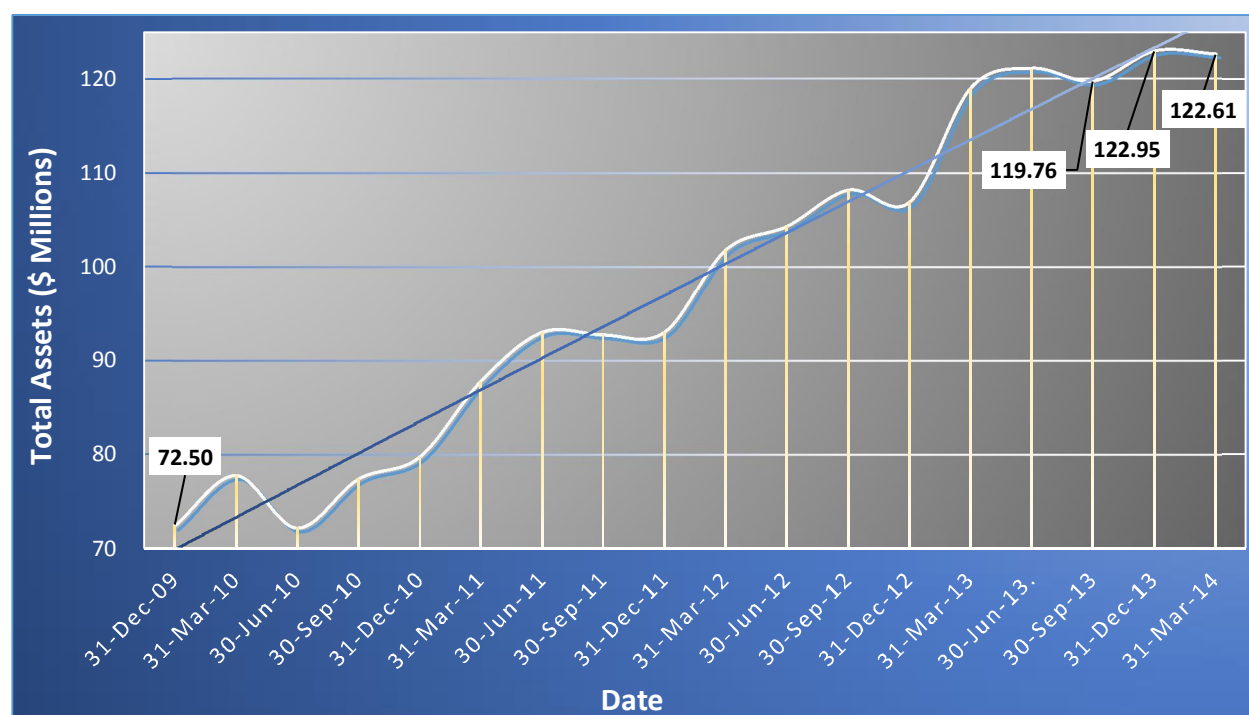
**Figure 13: Solvency Margin for Reinsurers**



## 2.4. Asset Quality

Total assets for non-life reinsurers were on the upward trend since 2009, as shown in Figure 14 below. However, during the quarter under review, reinsurers reported a marginal decrease in total assets from \$122.95 million as at 31 December 2013 to \$122.61 million as at 31 March 2014.

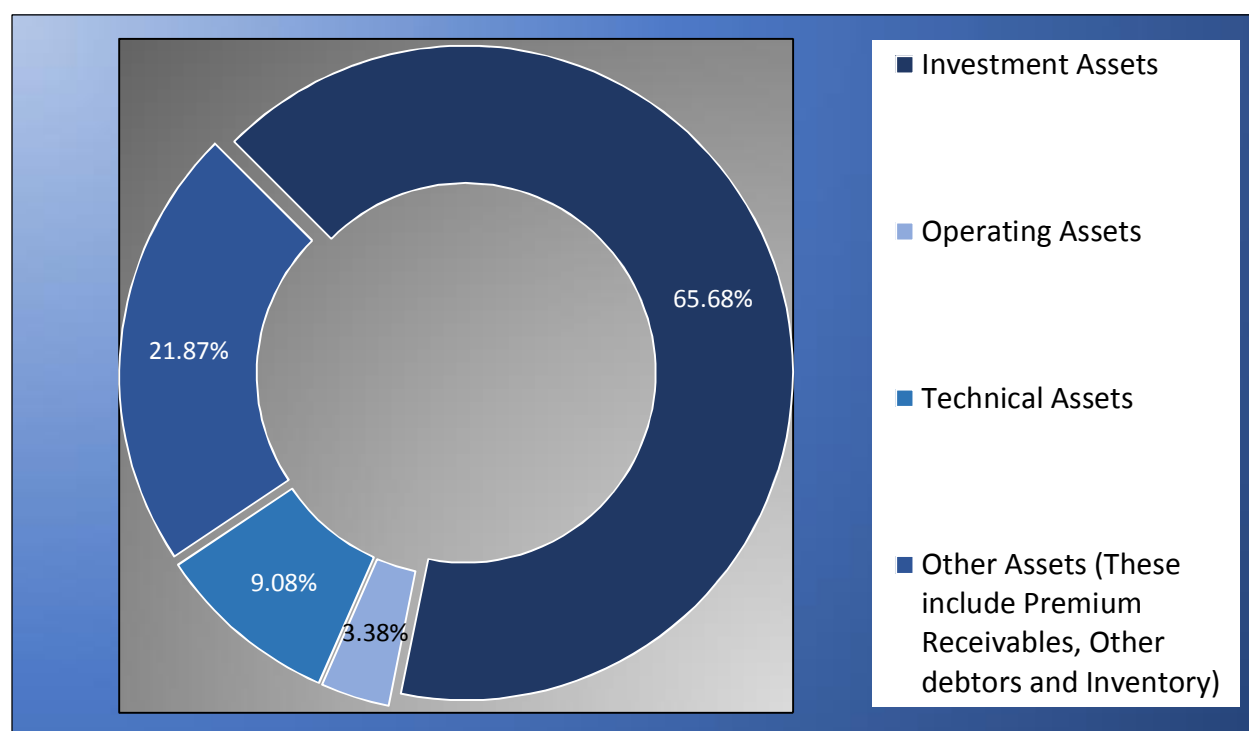
**Figure 14: Trend in Total Assets for Non-life Reinsurers since 2009**



The asset base for non-life reinsurers continued to be skewed towards investment assets as shown in Figure 15 below. The proportion of total assets for reinsurers attributable to investment assets increased marginally from 64.03% as at 31 December 2013 to 65.68% as at 31 March 2014. Non-life reinsurers had a better mix of assets compared to direct insurers who recorded an industry average proportion of only 37.83% of total assets in investment assets. The increase in the above mentioned proportion shows an improvement in the income generating capacity of the non-life reinsurers' assets. Investments to total assets for individual insurers ranged from 15.37% to 77.06% (See Appendix 2C).

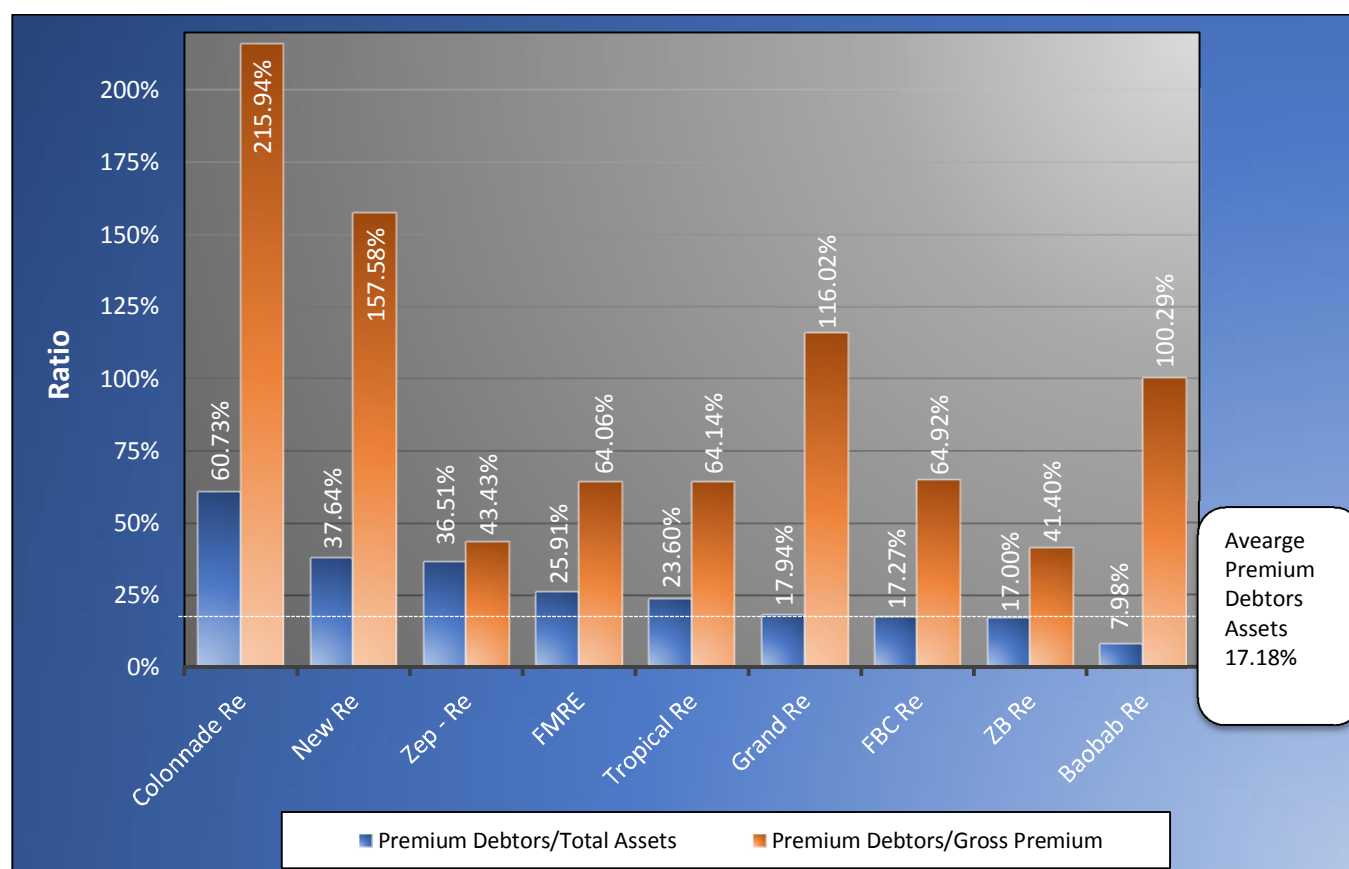
As at 31 March 2014, only one reinsurer namely FBC Reinsurance Company was compliant with the minimum prescribed assets ratio of 5%. All the other reinsurers did not have any form of investments in prescribed assets, a situation which is of concern to the Commission.

**Figure 15: Breakdown of Non-life Reinsurers' Total Assets**



The problem of premium debtors in non-life reinsurers was not as prevalent as it was in the direct non-life insurers' case. This is evidenced by the industry average ratio of premium debtors to assets which was 17.18% as at 31 March 2014 compared to 25.58% reported on the same date by non-life direct insurers. However, Colonnade Reinsurance Company and New Reinsurance Company reported premium debtors to asset ratios of 60.73% and 37.64% respectively which were significantly above the industry average. This compromises the quality of the said reinsurers' assets as well as their solvency given that these two reinsurers reported the lowest capital positions. The premium debtors to assets and premium debtors to gross premium for all reinsurers as at 31 March 2014 are shown in Figure 16 below.

**Figure 16: Premium Debtors to Assets and Premium Debtors to GPW Ratios**

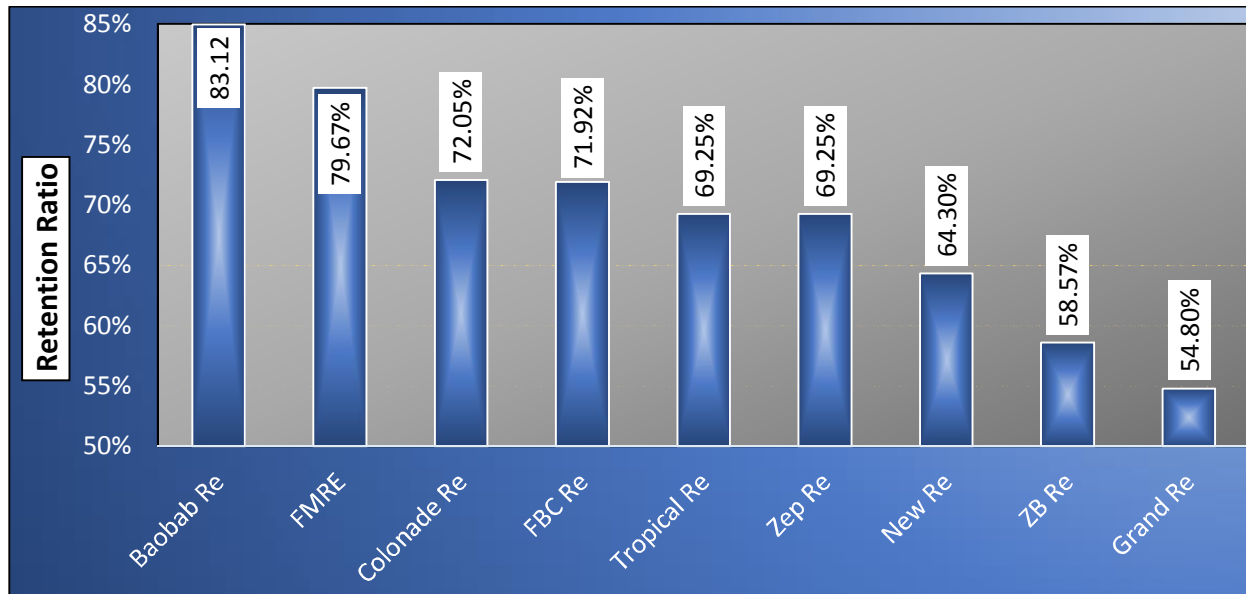


## 2.5. Retrocession

Non-life reinsurers reported an average retention ratio of 72.36% during the quarter ended 31 March 2014, compared to 77.13% reported in the comparative period in 2014 reflecting a reduction in their risk appetite. Retention ratios for individual insurers ranged from 54.80% to 83.12% as shown in Figure 17 below.

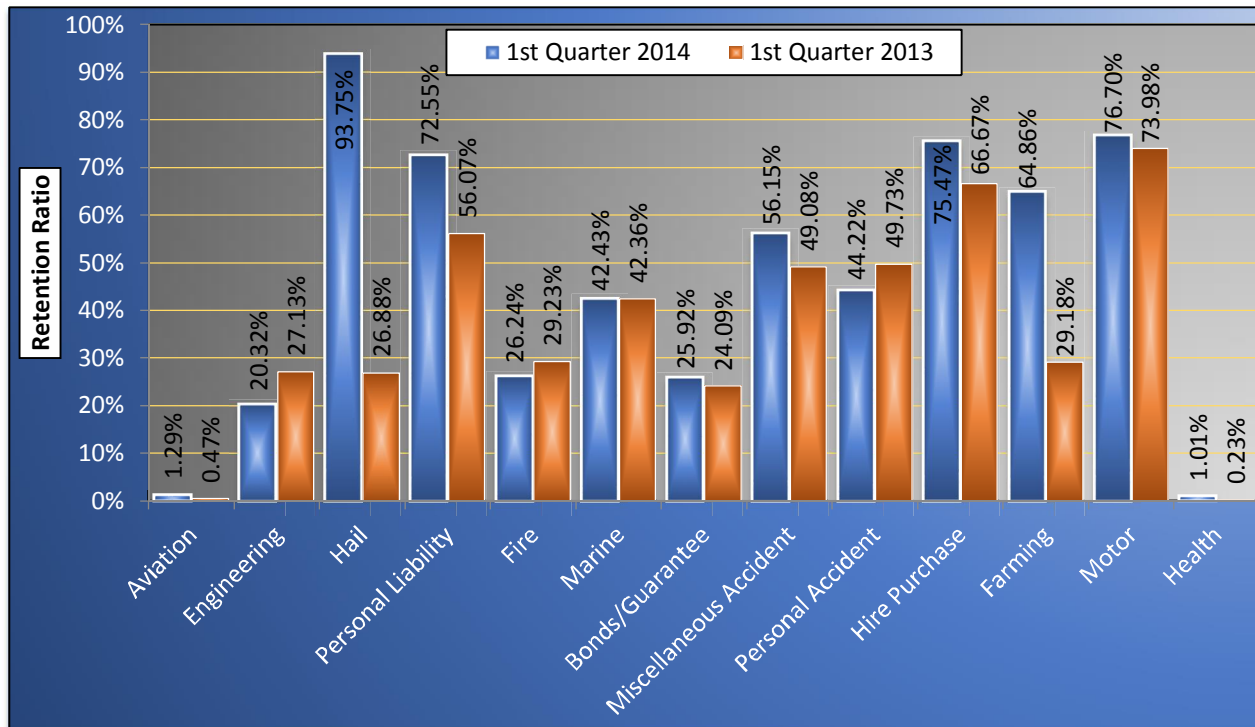
The average retrocession creditors to reinsurance premium ratio was 142.89% as at 31 March 2014 which shows a significant improvement from 198.64% that was reported for the quarter ended 31 March 2013. The Commission urges all reinsurers to ensure that their premium remittances to retrocessionaires are up to date. Retrocessionaires' share of outstanding claims accounted for 59.49% as at 31 March 2014. This means that for every dollar worth of outstanding claims, retrocessionaires are liable to pay about fifty nine cents. The ratios for different reinsurers are shown in Appendix 2C.

**Figure 17: Retention Ratios for Reinsurers**



The highest retention ratios were reported in health and hire purchase insurance owing to the low sums insured involved in these classes of business. Figure 18 below shows the non-life reinsurers' average retention ratios in different classes of business for the quarter ended 31 March 2014.

**Figure 18: Retention Ratios by Class of Insurance Business**



## **2.6. Actuarial Liabilities**

Non-life reinsurers reported total Unearned Premium Reserves (UPR) of \$17.75 million as at 31 March 2014, indicating an 18.69% increase from \$14.96 million reported as at 31 December 2013. On the other hand total Incurred But Not Reported (INBR) claims decreased by 28.63% from \$14.78 million as at 31 December 2013 to \$10.55 million as at 31 March 2014.

The non-life reinsurers' industry recorded marginal improvements in its ability to withstand adverse events with the average technical reserves to capital ratio decreasing from 44.54% as at 31 December 2013 to 41.10% as at 31 March 2014. This implies that the reinsurers, on average, had adequate capital to cover all their technical reserves.

The ability of the non-life reinsurers to withstand adverse events was further reflected by the industry average outstanding claims to capital ratio of 22.68% as at 31 March 2014 which was significantly below the prudential maximum/benchmark of 100%. The said ratio was 31.93% as at 31 December 2013.

Notwithstanding the industry wide analysis done above, Tropical Reinsurance Company was the only reinsurer whose ability to withstand adverse events was considered compromised. This is evidenced by the reinsurer's technical reserves to capital and outstanding claims to capital ratios of 138.70% and 114.08% which were significantly above the prudential maximum/benchmark of 100% (see ratios for all reinsurers in Appendix 2C). Such ratios imply that the reinsurer's capital is not adequate to enable the reinsurer's to meet its liabilities in respect of known and unknown outstanding claims as well as UPR.

## **2.7. Earnings**

Total profit after tax decreased from \$3.03 million for the quarter ended 31 March 2013 to \$2.34 million for the quarter ended 31 March 2014. The decrease in profits after tax was on the back of decreasing volumes of business coupled with increasing operating expenses. The decrease in total profit after tax resulted in the deterioration of the return on equity and return on assets from 4.87% and 2.55% for the quarter ended 31 March 2013 to 3.38% and 1.90% for the quarter under review respectively. Of all the non-life reinsurers, only Baobab Reinsurance Company reported losses during the quarter under review.

Underwriting profits for reinsurers decreased from \$2.73 million for the quarter ended 31 March 2013 to \$2.38 million for the quarter under review reflecting the deterioration of the profitability of the core business of reinsurers.

The decrease in the underwriting profits resulted in the combined ratio deteriorating from 84.28% for the quarter ended 31 March 2013 to 86.99% for the quarter under review. The increase in the combined ratio was mainly spurred by the change in expense ratio from 22.86% to 27.68%.

Underwriting remained the major income driver for the non-life reinsurers with investment income accounting for a mere 2.57% of net premium written (NPW) during the quarter under review compared to 3.50% reported in the comparative period in 2013. Such a situation is considered sustainable since the reinsurers were generating the bulk of their income from their core business.

## **2.8. Liquidity**

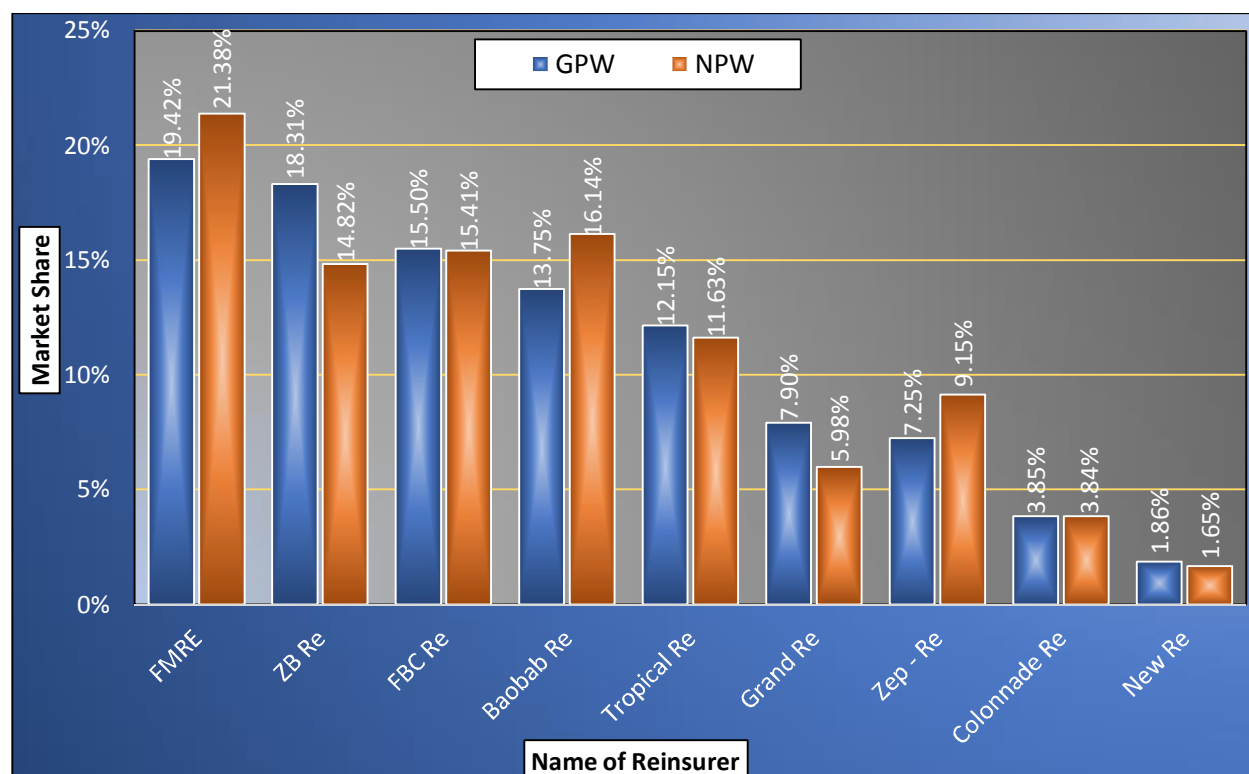
As at 31 March 2014, non-life reinsurers reported total liquid assets of \$27.04 million indicating a marginal decrease from \$28.76 million that was reported on 31 December 2013. The liquid assets remained concentrated in three reinsurers namely FBC Reinsurance Company, ZB Reinsurance Company and FMRE Property and Casualty which accounted for a total of 82.15% of total liquid assets.

Total working capital for non-life reinsurers amounted to \$19.46 million as at 31 March 2014 compared to \$16.50 million as at 31 December 2013. The increase in working capital translated into the improvement of liquidity of the short term reinsurance industry as shown by the improvement in the acid test ratio from 55.29% as at 31 December 2013 to 57.44% as at 31 March 2014. Notwithstanding the improvement in liquidity levels at industry level, some reinsurers exhibited some liquidity challenges with acid test ratios as low as 0.96%. The acid test ratios for reinsurers ranged from 0.96% to 117.62%. See appendix 2C for the indicators of liquidity for each reinsurer.

## 2.9. Market Share for Reinsurers

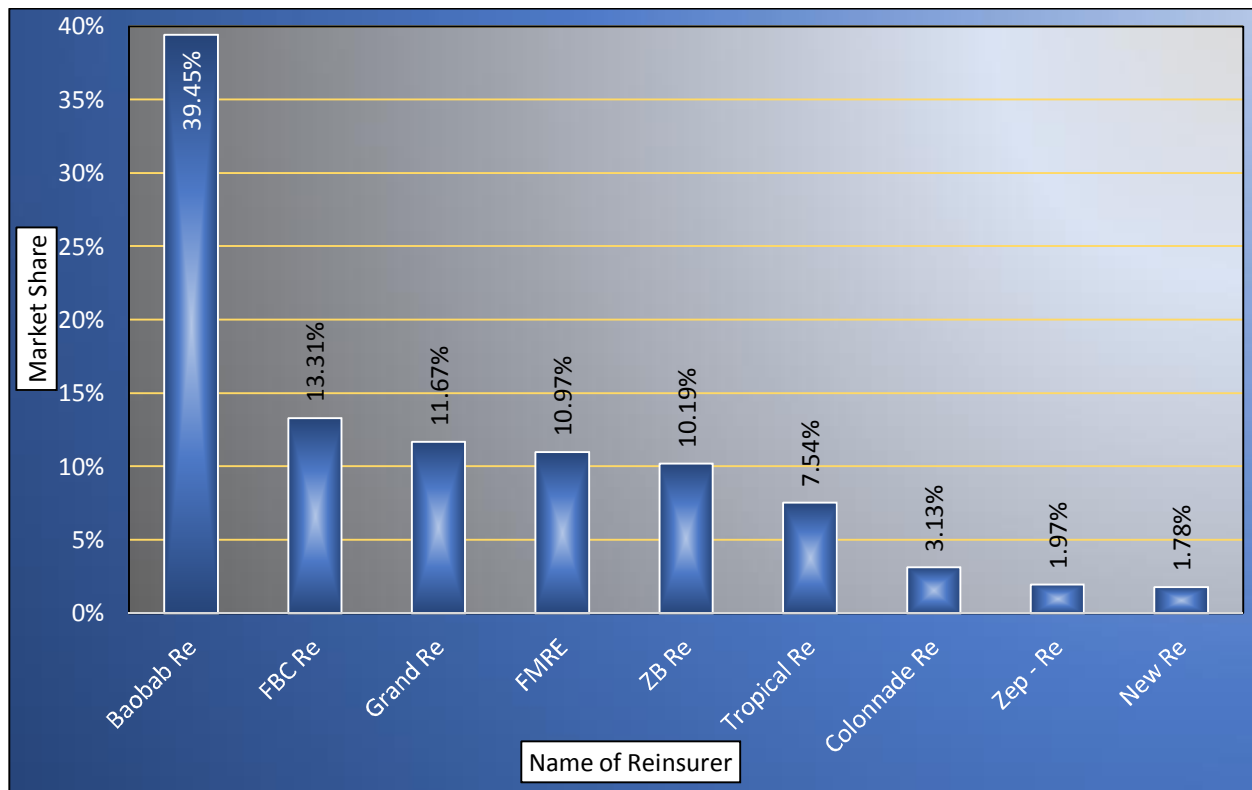
The market for non-life reinsurers recorded Herfindahl Indices of 0.14 in terms of both gross premium written and net premium written during the quarter ended 31 March 2014. FMRE Property and Casualty, ZB Reinsurance Company and FBC Reinsurance Company remained the market leaders in terms of gross premium written with a combined market share of 53.23%. Market shares for all reinsurers are shown in Figure 19 below.

**Figure 19: Market Share for Reinsurers in Terms of GPW and NPW**



In terms of total assets, Baobab Reinsurance Company, FBC Reinsurance Company and Grand Reinsurance Company remained the market leaders. The market shares in terms of total assets for all the reinsurers are shown in Figure 20 below.

**Figure 20: Market Share for Reinsurers in Terms of Total Assets**



## **SECTION C**

### **3. INSURANCE BROKERS**

### 3.1 Number of Insurance Brokers

The number of registered insurance brokers as at 31 March 2014 was thirty (30), the same number reported as at 31 December 2013. As at the time of compiling this report the Commission had registered an insurance broker called Excel Risk Solutions. However, Excel Risk Solutions and Revival Insurance Brokers were, at the time of compilation of this report, yet to commence operations. (Note that Matden Reinsurance brokers is classified under insurance brokers since it is not conducting reinsurance broking).

### 3.2 Business Written

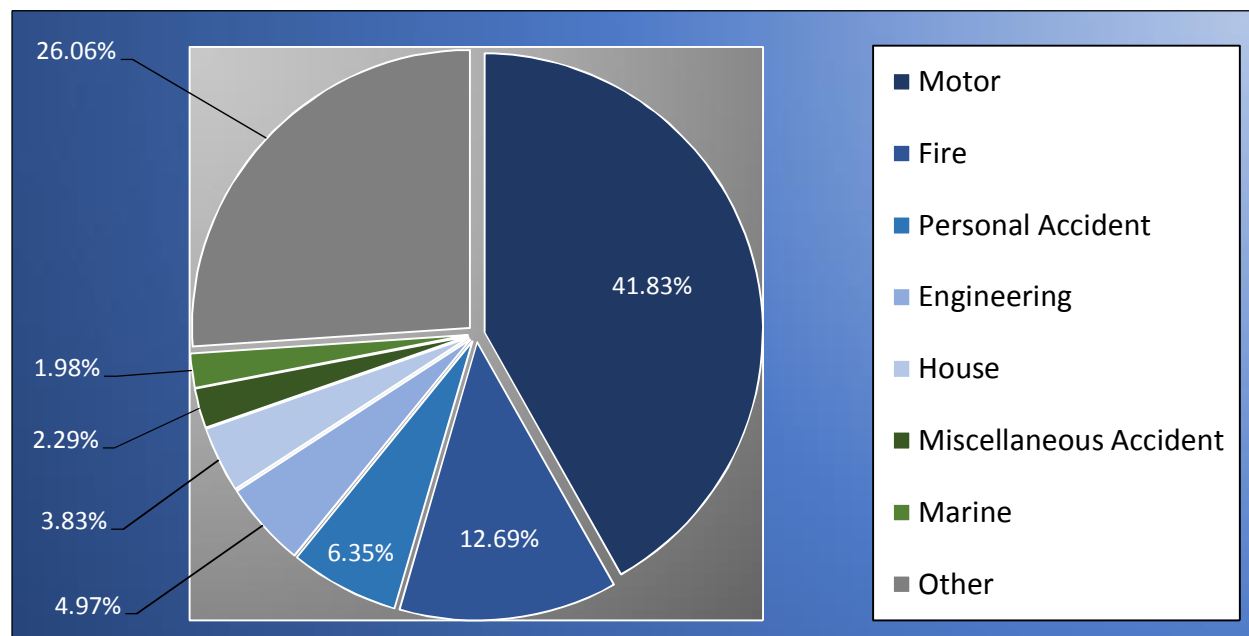
Total premium written by insurance brokers during the quarter ended 31 March 2014 amounted to \$24.64 million. The volume of business generated by insurance brokers accounted for 34.6% of business written by non-life insurers indicating that insurers are more reliant on their agents and direct customers for business. Out of the business handled by insurance brokers, net brokerage income of \$4.29 million was generated and it represented 17.42% of total premium.

**Table 5: Indicators of Business Written for Insurance Brokers**

| Indicator                       | Amount for the Quarter Ended 31 March 2014 (\$) |
|---------------------------------|-------------------------------------------------|
| Premium Written                 | 24,639,057                                      |
| Brokerage Commission            | 4,453,082                                       |
| Premium Written Less Commission | 20,185,975                                      |
| Commission Incurred             | 160,163                                         |
| Net Brokerage Commission        | 4,292,919                                       |
| Other Income                    | 389,774                                         |
| Operating Expenses              | 3,931,833                                       |
| Profit Before Tax               | 750,860                                         |
| Taxation                        | 129,248                                         |
| <b>Profit After Tax</b>         | <b>621,612</b>                                  |

Motor and fire insurance remained the major sources of business for insurance brokers as shown in Figure 21 below. The two business classes accounted for a total of 54.51% of total premium written by insurance brokers during the quarter under review.

**Figure 21: Distribution of Insurance Brokers' Gross Premium Written by Business Class**



### 3.3 Earnings

Non-life insurance brokers reported total profit after tax of \$0.62 million for the quarter ended 31 March 2014. The industry average return on equity (ROE) and return on assets (ROA) in respect of insurance brokers, for the quarter under review were 7.16% and 2.51% respectively. Net brokerage income continued to be the major income driver accounting for 91.68% of total income. Generation of income from core business indicates the sustainability of insurance brokers' income in the long term. A total of eight (8) insurance brokers out of the twenty nine operational institutions reported losses during the quarter under review.

### 3.4 Capitalization

All the operating insurance brokers, except five, reported capital positions which were below \$100,000 as at 31 March 2014. The capital positions for the individual insurance brokers as at 31 March 2014 ranged from negative \$2,034 to \$904,106.

The capital position for all the insurance brokers is shown in Table 6 below.

**Table 6: Reported Capital Levels for Insurance Brokers**

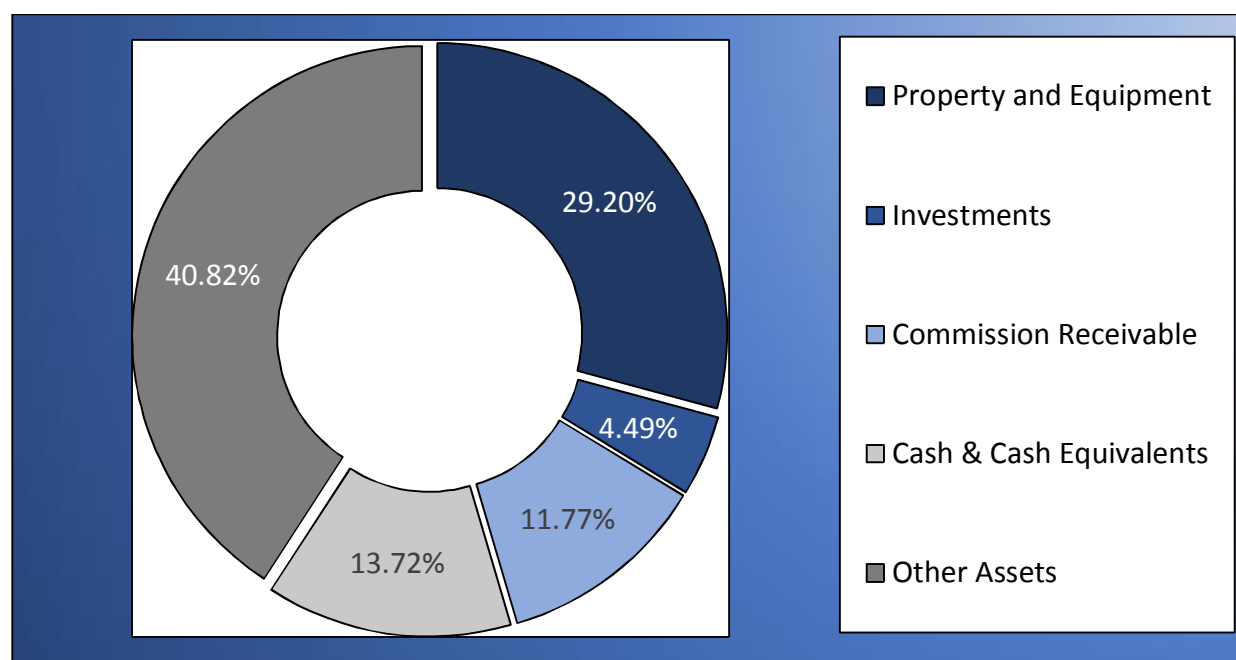
| <b>Name Insurance Broker</b>        | <b>31-Dec-12</b> | <b>30-Sep-13</b> | <b>31-Dec-13</b> | <b>31-Mar-14</b> |
|-------------------------------------|------------------|------------------|------------------|------------------|
| 1. Alexander Forbes Risk Services   | 425,997          | 333,628          | 531,600          | 559,301          |
| 2. Ambassador Insurance Brokers     | 145,839          | 129,123          | 126,976          | 126,976          |
| 3. Amour Khan Insurance Brokers     | 14,968           | 136,960          | 138,323          | 136,481          |
| 4. Auto & General Insurance Brokers | 433,900          | 445,290          | 445,980          | 434,100          |
| 5. Broksure Insurance Brokers       | 51,627           | 111,548          | 103,050          | 103,813          |
| 6. Capitol Insurance Brokers        | 375,736          | 546,706          | 598,614          | 599,889          |
| 7. Care Insurance Brokers           | 133,350          | 132,722          | 121,841          | 180,389          |
| 8. Eaton & Youngs (Private) Limited | 313,831          | 491,455          | 441,502          | 433,289          |
| 9. Eureka Insurance Brokers         | 236,063          | 246,441          | 330,873          | 307,549          |
| 10. Glenrand MIB Zimbabwe           | 655,914          | 349,431          | 284,631          | 155,996          |
| 11. Goldstick Insurance Brokers     | 66,551           | 117,782          | 103,164          | 70,489           |
| 12. Hostcare Insurance Brokers      |                  | 145,965          | 146,645          | 145,800          |
| 13. HRIB (Private) Limited          | 106,415          | 145,179          | 225,452          | 340,141          |
| 14. Hunt Adams & Associates         | (107,013)        | 80,676           | 105,002          | 116,789          |
| 15. Insuraserive (Private) Limited  | 160,963          | 415,234          | 85,669           | 79,265           |
| 16. L. A. Guard Insurance Brokers   | 95,158           | 102,332          | 102,290          | 97,700           |
| 17. Marsh Insurance Brokers         | 580,570          | 685,020          | 781,239          | 978,757          |
| 18. Matden Reinsurance Brokers      | 11,337           | 10,843           | 9,939            | (2,034)          |
| 19. Minerva Risk Solutions*         | 2,493,162        | 672,692          | 808,157          | 904,106          |
| 20. Momentum Insurance Brokers      | 363,232          | 373,269          | 506,492          | 515,260          |
| 21. Navistar Insurance Brokers      | 93,016           | 109,232          | 100,310          | 377,249          |
| 22. Paul Mkondo Insurance Brokers   | 133,567          | 167,315          | 161,465          | 126,484          |
| 23. Perpro Insurance Brokers        | 98,812           | 157,965          | 162,003          | 172,697          |
| 24. Progressive Insurance Brokers   | 624,873          | 654,910          | 726,971          | 686,900          |
| 25. Rainbow Insurance Brokers       | 6,842            | 10,847           | 7,004            | 14,443           |
| 26. SATIB Insurance Brokers         | 1159,944         | 177,368          | 50,111           | 195,683          |
| 27. TIB Insurance Brokers           | 57,817           | 103,123          | 102,662          | 104,892          |
| 28. Victory Insurance Brokers       | 328,580          | 431,511          | 408,610          | 397,467          |
| 29. Zimbabwe Insurance Brokers      | 298,601          | 293,739          | 264,250          | 318,981          |

\*The capital base as at 31 December 2012 was for the holding company Aon Zimbabwe.

### 3.5 Asset Quality

Total assets for insurance brokers amounted to \$24.80 million as at 31 March 2014, compared to \$22.77 million reported as at 31 December 2013. The asset base for insurance brokers remained skewed towards commission receivable which accounted for 29.20% of assets. Such a distribution of assets is mainly attributable to credit terms offered by insurance companies. The asset quality for insurance brokers in terms of generation of income was compromised by low levels of investments which accounted for a paltry 4.49% as at 31 March 2014. Figure 22 below shows the breakdown of assets as at 31 March 2014.

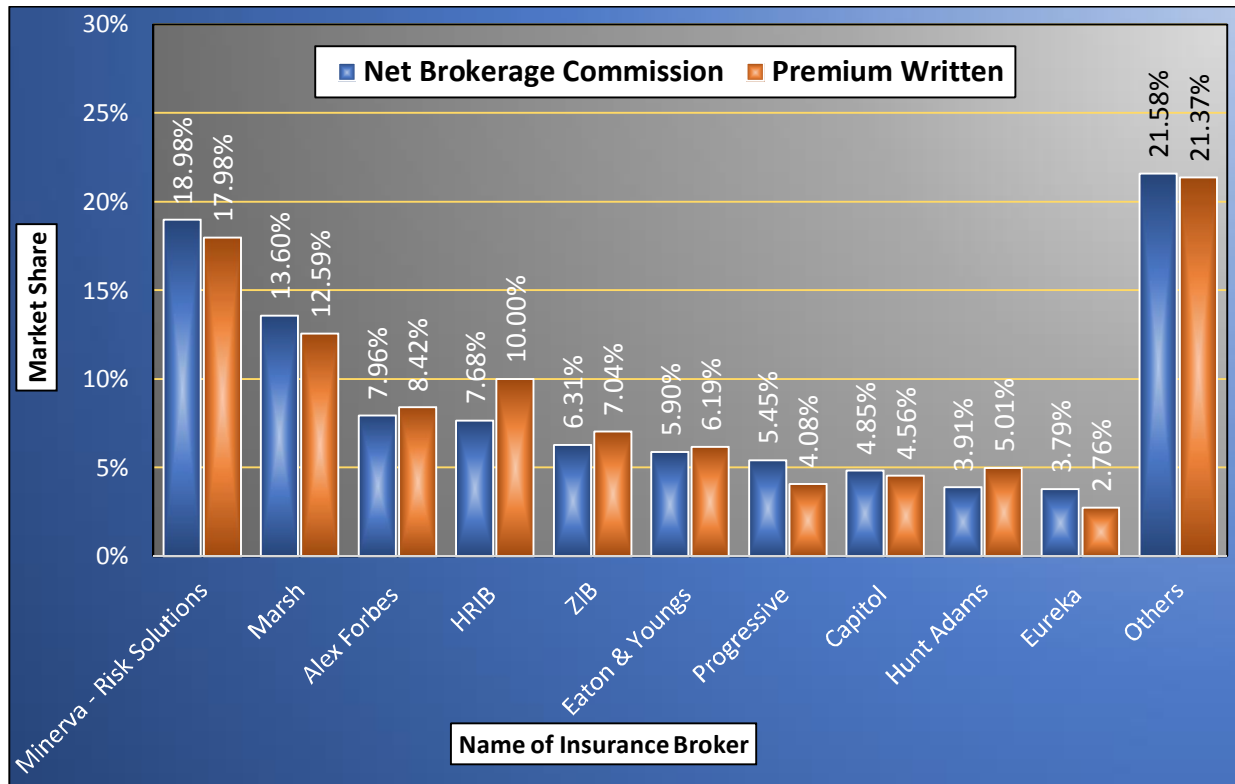
**Figure 22: Breakdown of Insurance Brokers' Total Assets**



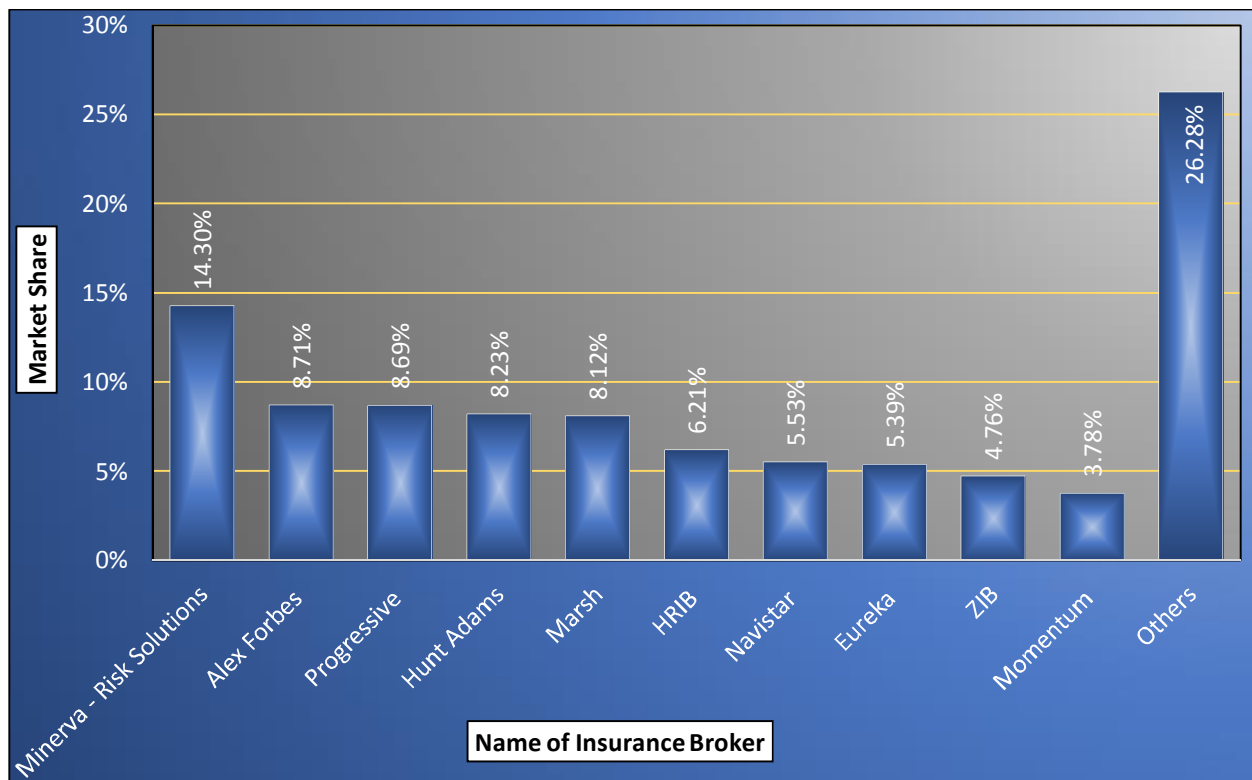
### 3.6 Market Share for Insurance Brokers

The market for insurance brokers remained unconcentrated with Herfindahl Indices of 0.09 and 0.07 in terms of net brokerage income and total assets respectively. Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and Alexander Forbes Risk Services Zimbabwe remained the market leaders in terms of net brokerage commission with a combined market share of 40.54%. On the other hand, Minerva Risk Solutions, Alexander Forbes Risk Services Zimbabwe and Progressive Insurance Brokers were the market leaders in terms of total assets. Figure 23 and 24 below show the market shares of all the insurance brokers.

**Figure 23: Market Share in Terms of Net Brokerage Income and Premium Written**



**Figure 24: Market Share for Insurance Brokers in Terms of Total Assets**



**SECTION D**  
**4. REINSURANCE BROKERS**

#### 4.1 Number of Reinsurance Brokers

The number of registered reinsurance brokers as at 31 March 2014, was three (3), the same number reported as at 31 December 2013.

#### 4.2 Business Written

Reinsurance brokers generated business during the quarter ended 31 March 2014, whose total premium amounted to \$15.58 million. The total premium in respect of business written by reinsurance brokers accounted for 55.63% of total gross premium written by reinsurers. This indicates that the bulk of business written by reinsurers was generated through brokers.

Reinsurance brokers generated income of \$0.71 million in form of net brokerage commission from the business which they brokered. The net brokerage commission generated by reinsurance brokers from the business written accounted for 4.58% of total premium written by reinsurers. This compared unfavourably with 17.42% which was generated by insurance brokers from business they conducted on behalf of insurance companies. Table 7 shows the business written by reinsurance brokers during the quarter ended 31 March 2014.

**Table 7: Indicators of Business Written for Reinsurance Brokers**

| Indicator                       | 31 March 2014 |
|---------------------------------|---------------|
| Premium Written                 | 15,577,723    |
| Brokerage Commission            | 2,938,061     |
| Premium Written Less Commission | 12,639,662    |
| Commission Paid                 | 2,225,288     |
| Net Brokerage Commission        | 712,773       |
| Other Income                    | 16,791        |
| Operating Expenses              | 434,866       |
| Profit Before Tax               | 294,698       |
| Taxation                        | 79,511        |
| Profit After Tax                | 215,187       |

### 4.3 Capitalization

Of all the operating reinsurance brokers, only Reinsurance Brokers International (RBI) reported a capital position which was below \$100,000 as at 31 March 2014. Table 8 below shows the trend in capital positions for the reinsurance brokers.

**Table 8: Capital Levels for Reinsurance Brokers**

| Name of Company                      | Reported Capital Position (\$) |             |             |             |
|--------------------------------------|--------------------------------|-------------|-------------|-------------|
|                                      | 31 Dec 2012                    | 30 Sep 2013 | 31 Dec 2013 | 31 Mar 2014 |
| 1. Minerva Re (Private) Limited*     | 2,493,162                      | 1,085,991   | 1,949,169   | 2,197,597   |
| 2. Pan African Re                    | 155,847                        | 304,669     | 363,915     | 388,165     |
| 3. Reinsurance Brokers International | 125,461                        | 130,786     | 152,328     | 97,446      |

*\*The capital base as at 31 December 2012 was for the then Aon Zimbabwe before its subsidiaries started reporting separately.*

### 4.4 Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers amounted to \$0.22 million for the quarter ended 31 March 2014. The industry average return on equity (ROE) and return on assets (ROA) were 8.02% and 1.40% respectively.

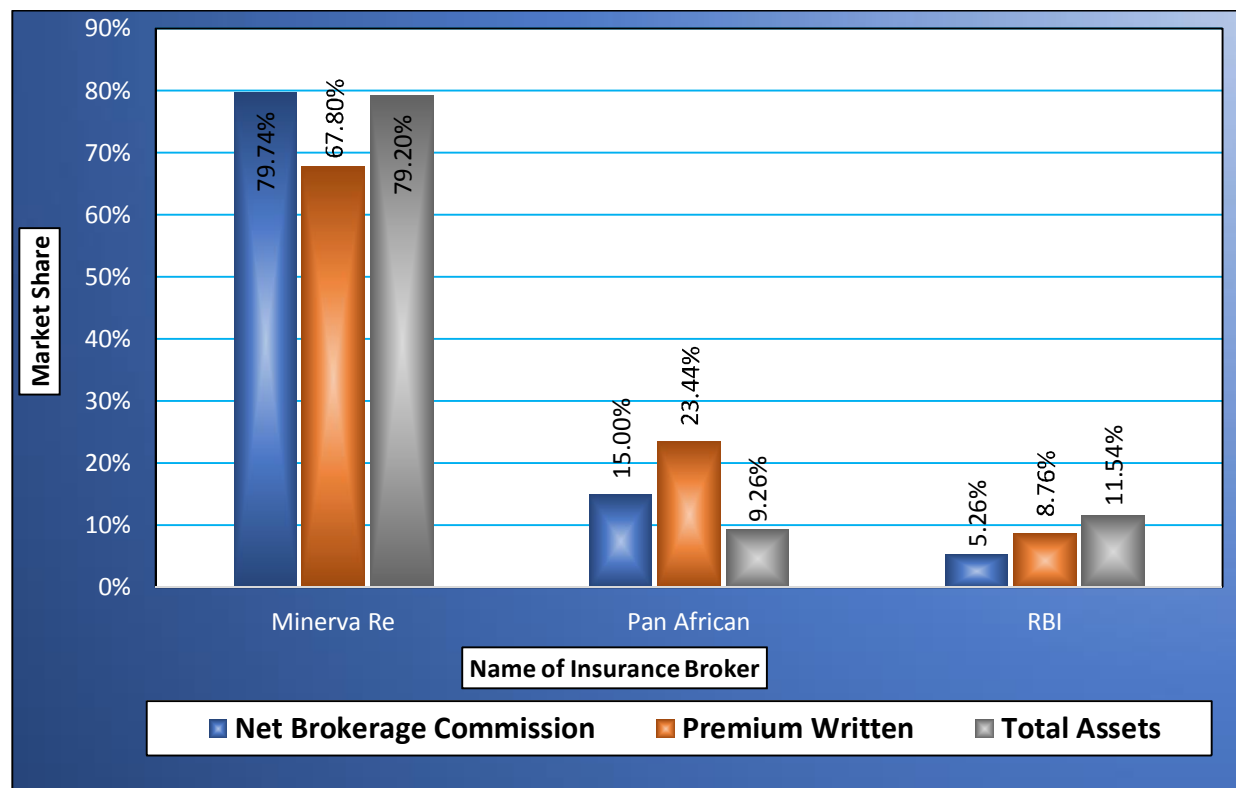
### 4.5 Asset Quality

Total assets for reinsurance brokers decreased by 14.01% from \$17.58 million as at 31 December 2013 to \$15.42 million as at 31 March 2014. The asset base for reinsurance brokers was mainly skewed towards debtors which were largely made up of premium receivable.

### 4.6 Market Share for Reinsurance Brokers

As shown in Figure 25 below, Minerva Re (Private) Limited continued to be the market leader in terms of total assets, net brokerage commission and premium written. The market shares for all reinsurance brokers is shown in Figure 25 below.

**Figure 25: Market Share for Reinsurance Brokers in Terms of Net Brokerage Income**



## **SECTION E**

### **5. APPENDICES**

| Appendix 1A: Statement of Comprehensive Income for Non-life Insurers \$('000) |          |        |        |       |                        |               |           |         |          |       |           |            |        |          |          |      |       |         |       |       |       |           |             |         |             |        |  |
|-------------------------------------------------------------------------------|----------|--------|--------|-------|------------------------|---------------|-----------|---------|----------|-------|-----------|------------|--------|----------|----------|------|-------|---------|-------|-------|-------|-----------|-------------|---------|-------------|--------|--|
|                                                                               | Alliance | Allied | Altfin | C.B.Z | Cell Insurance Company |               | Champions | Clarion | Credsure | Eagle | Evolution | Excellence | Global | Hamilton | Heritage | KMFS | Nicoz | Quality | Regal | RM    | Safel | Sanctuary | Tetrad Hail | Tristar | Zimnat Lion | Total  |  |
|                                                                               |          |        |        |       | Promoter               | Cell Business |           |         |          |       |           |            |        |          |          |      |       |         |       |       |       |           |             |         |             |        |  |
| GPW                                                                           | 6,796    | 416    | 755    | 3,410 | 12,416                 | 1,259         | 2,556     | 1,497   | 1,442    | 4,198 | 939       | 216        | 424    | 386      | 2,429    | 113  | 9,039 | 387     | 470   | 8,994 | 55    | 324       | 1,175       | 2,971   | 8,545       | 71,211 |  |
| Reinsurance                                                                   | 3,935    | 31     | 408    | 2,370 | 10,348                 | -             | 887       | 79      | 893      | 1,899 | 357       | 54         | 134    | 129      | 1,230    | 21   | 3,407 | 100     | 11    | 2,256 | 1     | 75        | 908         | 1,508   | 4,353       | 35,394 |  |
| NPW                                                                           | 2,861    | 385    | 347    | 1,040 | 2,067                  | 1,259         | 1,669     | 1,418   | 549      | 2,298 | 582       | 162        | 291    | 257      | 1,199    | 92   | 5,632 | 287     | 459   | 6,738 | 53    | 248       | 267         | 1,464   | 4,191       | 35,817 |  |
| Change in UPR                                                                 | 263      | 101    | (309)  | 371   | 818                    | 411           | 308       | 180     | 30       | 649   | 98        | (22)       | 5      | (30)     | 389      | 7    | 1,198 | (96)    | 37    | 1,708 | 27    | 5         | (638)       | 404     | 1,776       | 7,689  |  |
| NEP                                                                           | 2,597    | 284    | 656    | 668   | 1,250                  | 849           | 1,362     | 1,238   | 519      | 1,649 | 484       | 184        | 285    | 288      | 810      | 86   | 4,434 | 383     | 423   | 5,030 | 26    | 243       | 905         | 1,060   | 2,416       | 28,128 |  |
| Net Incurred Claims                                                           | 1,458    | 58     | 354    | 734   | 809                    | 236           | 413       | 533     | 187      | 1,039 | 179       | 3          | 114    | 123      | 557      | (10) | 1,529 | 145     | (41)  | 2,151 | 2     | 74        | 635         | 289     | 822         | 12,394 |  |
| Net Commission Incurred                                                       | (32)     | 35     | (33)   | (76)  | (241)                  | 460           | (105)     | 151     | (99)     | 139   | 58        | 23         | 14     | 18       | 49       | 51   | 532   | 25      | 41    | 474   | 4     | 4         | (89)        | 33      | 226         | 1,661  |  |
| Technical Result                                                              | 1,172    | 190    | 335    | 11    | 681                    | 152           | 1,054     | 554     | 431      | 472   | 247       | 158        | 157    | 146      | 204      | 45   | 2,373 | 213     | 422   | 2,406 | 21    | 165       | 359         | 738     | 1,368       | 14,073 |  |
| Operating Expenses                                                            | 959      | 140    | 573    | 273   | 595                    | -             | 419       | 653     | 435      | 666   | 76        | 92         | 156    | 143      | 543      | 55   | 1,239 | 188     | 233   | 1,056 | 51    | 190       | 316         | 593     | 665         | 10,309 |  |
| Underwriting Result                                                           | 213      | 51     | (238)  | (262) | 87                     | 152           | 635       | (99)    | (4)      | (195) | 171       | 66         | 2      | 3        | (339)    | (11) | 1,134 | 25      | 189   | 1,350 | (31)  | (25)      | 43          | 145     | 702         | 3,764  |  |
|                                                                               |          |        |        |       |                        |               |           |         |          |       |           |            |        |          |          |      |       |         |       |       |       |           |             |         |             |        |  |
| Investment                                                                    |          |        |        |       |                        |               |           |         |          |       |           |            |        |          |          |      |       |         |       |       |       |           |             |         |             |        |  |
| Investment Income                                                             | 151      | (0)    | -      | 31    | 1                      | 67            | -         | -       | 11       | 68    | 7         | -          | 8      | -        | 27       | -    | 110   | 2       | 0     | 292   | -     | 19        | 36          | 17      | 12          | 856    |  |
| Unrealised Gains/Losses                                                       | -        | (11)   | (1)    | (24)  | (13)                   | (24)          | -         | 1       | (18)     | (16)  | -         | -          | 4      | 13       | (4)      | -    | -     | (211)   | -     | (173) | -     | -         | -           | (15)    | -           | (493)  |  |
| Other Income                                                                  | (55)     | (2)    | -      | (0)   | 203                    | (30)          | 5         | 65      | -        | 10    | -         | -          | -      | -        | 9        | -    | (101) | -       | 1     | (27)  | 0     | 14        | -           | 21      | 5           | 119    |  |
| Profit Before Tax                                                             | 308      | 38     | (239)  | (255) | 277                    | 165           | 640       | (33)    | (11)     | (134) | 178       | 66         | 13     | 15       | (307)    | (11) | 1,143 | (184)   | 191   | 1,441 | (30)  | 8         | 79          | 169     | 719         | 4,246  |  |
| Taxation                                                                      | 79       | 10     | (175)  | 45    | 71                     | 42            | 15        | (8)     | (3)      | -     | 38        | 20         | -      | 4        | -        | -    | (95)  | 27      | 53    | 315   | -     | -         | 22          | (3)     | 196         | 652    |  |
| Profit After Tax                                                              | 229      | 28     | (64)   | (301) | 206                    | 122           | 626       | (24)    | (8)      | (134) | 140       | 46         | 13     | 11       | (307)    | (11) | 1,238 | (211)   | 138   | 1,127 | (30)  | 8         | 57          | 172     | 524         | 3,594  |  |

| Appendix 1B: Statements of Financial Position for Non-life Insurers US\$'000 |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
|------------------------------------------------------------------------------|----------|--------|--------|-------|------------------------|---------------|-----------|---------|----------|--------|-----------|------------|--------|----------|----------|-------|--------|---------|-------|--------|-------|-----------|--------|---------|---------|--------|---------|-------|
|                                                                              | Alliance | Allied | Altfin | C.B.Z | Cell Insurance Company |               | Champions | Clarion | Credsure | Eagle  | Evolution | Excellence | Global | Hamilton | Heritage | KMFS  | Nicoz  | Quality | Regal | RM     | Safel | Sanctuary | Tetrad | Hail    | Tristar | Zimnat | Lion    | Total |
|                                                                              |          |        |        |       | Promoter               | Cell Business |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| ASSETS                                                                       |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| Non-Current Assets                                                           |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| Fixed Assets                                                                 | 2,284    | 542    | 355    | 275   | 444                    | -             | 1,469     | 1,260   | 2,334    | 2,887  | 1,034     | 590        | 774    | 463      | 2,389    | 86    | 2,801  | 421     | 2,271 | 1,084  | 1,351 | 914       | 1,086  | 190     | 701     |        | 28,006  |       |
| Investments                                                                  | 1,053    | 85     | 1,098  | 414   | 374                    | -             | -         | 11      | 409      | 152    | 261       | 8          | 247    | 244      | 2,404    | 551   | 4,142  | 1,302   | 2     | 2,506  | -     | 6         | 1,808  | 1,441   | 3,315   |        | 21,835  |       |
|                                                                              | 3,337    | 627    | 1,453  | 690   |                        | -             | 1,469     | 1,271   | 2,743    | 3,039  | 1,295     | 599        | 1,022  | 707      | 4,793    | 637   | 6,943  | 1,723   | 2,273 | 3,590  | 1,351 | 921       | 2,894  | 1,631   | 4,016   |        | 49,841  |       |
| Technical Assets                                                             |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| Reinsurers' Share of O/S Claims                                              | 2,981    | 141    | 2,163  | 114   | -                      | -             | 173       | 245     | 346      | 675    | 28        | 9          | 153    | 334      | -        | 81    | 1,028  | 103     | 1     | 2,523  | 0     | 2         | 612    | 156     | 720     |        | 12,590  |       |
| Deferred Acquisition Cost                                                    | 603      | 128    | 26     | (56)  | 1,795                  | -             | 91        | 36      | 47       | 222    | 45        | 6          | 277    | 21       | 361      | 57    | 1,082  | 216     | 18    | 1,016  | -     | -         | 929    | 48      | -       |        | 6,968   |       |
|                                                                              | 3,584    | 269    | 2,189  | 58    | 1,795                  | -             | 265       | 282     | 392      | 897    | 73        | 16         | 430    | 356      | 361      | 138   | 2,110  | 319     | 18    | 3,538  | 0     | 2         | 1,541  | 204     | 720     |        | 19,558  |       |
| Current Assets                                                               |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| Cash & cash equivalents                                                      | 627      | 71     | 11     | 242   | 6,914                  | -             | 390       | 19      | 147      | 278    | 327       | 29         | 50     | 109      | 92       | 4     | 4,973  | 102     | 164   | 1,154  | 35    | 26        | 2,026  | 22      | 637     |        | 18,450  |       |
| Money Market Investments                                                     | 8,147    | 112    | 2      | 1,787 | -                      | -             | 46        | 502     | 266      | 2,417  | -         | -          | -      | 37       | 414      | -     | -      | 53      | -     | 10,938 | -     | 719       | -      | 671     | 1,381   |        | 27,492  |       |
| Current Prescribed Assets                                                    | -        | -      | -      | -     | -                      | -             | 33        | -       | -        | -      | -         | -          | -      | -        | -        | -     | 350    | 37      | -     | 331    | -     | -         | -      | 143     | 7       |        | 902     |       |
| Premium Receivables                                                          | 5,008    | 1,197  | 1,931  | 2,303 | 5,670                  | 1,212         | 852       | 475     | 1,239    | 2,855  | 183       | 43         | 711    | 592      | 4,047    | 619   | 6,853  | 134     | 25    | 1,847  | 21    | 174       | 981    | 2,371   | 5,099   |        | 46,440  |       |
| Inventory and Other Debtors                                                  | 2,202    | 6      | 2,081  | 690   | 3,440                  | -             | 671       | 356     | 265      | 758    | 735       | 146        | 29     | -        | (3)      | 325   | 1,458  | 49      | 1,202 | 2,554  | 13    | 10        | -      | 806     | 1,064   |        | 18,858  |       |
|                                                                              | 15,984   | 1,388  | 4,025  | 5,022 | 16,024                 | 1,212         | 1,992     | 1,352   | 1,916    | 6,308  | 1,246     | 218        | 790    | 738      | 4,549    | 948   | 13,634 | 375     | 1,391 | 16,824 | 68    | 929       | 3,007  | 4,012   | 8,188   |        | 112,141 |       |
|                                                                              |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| TOTAL ASSETS                                                                 | 22,905   | 2,283  | 7,667  | 5,770 | 17,819                 | 1,212         | 3,725     | 2,905   | 5,052    | 10,244 | 2,614     | 832        | 2,242  | 1,801    | 9,704    | 1,723 | 22,687 | 2,417   | 3,682 | 23,953 | 1,420 | 1,852     | 7,442  | 5,847   | 12,925  |        | 181,540 |       |
| LIABILITIES                                                                  |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| Deferred Tax Liabilities                                                     | -        | 70     | 244    | -     | -                      | -             | (15)      | 30      | -        | 67     | 12        | 25         | 17     | -        | 310      | -     | 286    | (121)   | 28    | -      | -     | 37        | 34     | 8       | 674     |        | 1,705   |       |
| Long Term loan                                                               | -        | -      | -      | -     | -                      | -             | -         | -       | -        | -      | -         | -          | -      | -        | 114      | 200   | 182    | -       | -     | -      | -     | -         | -      | -       | 500     |        | 996     |       |
| Current Tax provisions                                                       | 79       | 65     | -      | 74    | 120                    | 42            | 139       | 38      | 245      | 395    | 73        | 74         | -      | 4        | 72       | 59    | 211    | 46      | 235   | 306    | -     | -         | 106    | 87      | (98)    |        | 2,372   |       |
| Gross Outstanding Claims                                                     | 4,370    | 215    | 3,230  | 505   | 498                    | 310           | 472       | 552     | 709      | 1,234  | 167       | 35         | 304    | 475      | 2,075    | 116   | 1,386  | 197     | 19    | 3,419  | 3     | 29        | 1,220  | 307     | 2,192   |        | 24,040  |       |
| IBNR                                                                         | 4,734    | 57     | 286    | 55    | 325                    | -             | 83        | 80      | 226      | 402    | 17        | 4          | 4      | 51       | 79       | 21    | 282    | 10      | 33    | 1,564  | -     | 17        | 13     | 190     | 474     |        | 9,009   |       |
| UPR                                                                          | 3,017    | 579    | 255    | 1,497 | 1,750                  | 1,354         | 207       | 527     | 376      | 1,724  | 302       | 24         | 490    | 214      | 1,805    | 107   | 5,409  | 1,089   | 228   | 5,080  | 27    | 164       | 1,573  | 1,711   | 2,117   |        | 31,626  |       |
| Reinsurance & Other Creditors                                                | 6,514    | 481    | 1,318  | 1,838 | 8,429                  | 17            | 1,197     | -       | 744      | 2,647  | 302       | 56         | 388    | 70       | 4,219    | 46    | 2,782  | -       | 51    | -      | 1     | 188       | 958    | 1,651   | 2,423   |        | 36,319  |       |
| Other Creditors                                                              | -        | 43     | 1,286  | 167   | 4,795                  | (3,195)       | -         | 187     | 17       | 587    | 85        | 98         | 22     | 143      | 61       | 84    | 1,183  | 33      | 429   | 806    | -     | 68        | 43     | 816     | 811     |        | 8,568   |       |
| TOTAL LIABILITIES                                                            | 18,714   | 1,510  | 6,619  | 4,137 | 15,917                 | (1,471)       | 2,083     | 1,414   | 2,317    | 7,056  | 958       | 316        | 1,225  | 957      | 8,733    | 633   | 11,721 | 1,254   | 1,022 | 11,175 | 31    | 503       | 3,948  | 4,770   | 9,093   |        | 114,635 |       |
| SHAREHOLDERS' EQUITY                                                         |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| Share Capital                                                                | 301      | 15     | 300    | 51    | 620                    | -             | 382       | 1,300   | 2        | 1      | 120       | 360        | 40     | 500      | 850      | 400   | 2,834  | 120     | 1,860 | 300    | 1,500 | 100       | 1,000  | 1       | 553     |        | 13,509  |       |
| Share Premium                                                                | -        | 276    | 625    | -     | -                      | -             | -         | 25      | 1,824    | 2,800  | -         | -          | 796    | 1,500    | -        | 637   | 3,291  | -       | -     | -      | -     | 2,029     | -      | -       | -       |        | 13,804  |       |
| Revaluation & Other Reserves                                                 | 1,141    | -      | 422    | 590   | -                      | -             | 3         | 86      | 353      | 137    | 7         | 346        | 167    | -        | 29       | -     | 23     | 49      | 243   | 2,011  | -     | -         | 782    | 3,830   | 1,241   |        | 11,461  |       |
| Retained Profit                                                              | 2,750    | 482    | (299)  | 993   | 2,099                  | 2,683         | 1,259     | 80      | 555      | 249    | 1,528     | (191)      | 13     | (1,156)  | 91       | 53    | 4,818  | 994     | 557   | 10,467 | (111) | (780)     | 1,712  | (2,753) | 2,038   |        | 28,131  |       |
| Shareholders's Equity                                                        | 4,192    | 773    | 1,048  | 1,633 | 2,719                  | 2,683         | 1,643     | 1,492   | 2,735    | 3,187  | 1,656     | 516        | 1,017  | 844      | 970      | 1,091 | 10,966 | 1,163   | 2,660 | 12,778 | 1,389 | 1,349     | 3,494  | 1,077   | 3,832   |        | 66,905  |       |
|                                                                              |          |        |        |       |                        |               |           |         |          |        |           |            |        |          |          |       |        |         |       |        |       |           |        |         |         |        |         |       |
| TOTAL EQUITY & LIABILITIES                                                   | 22,905   | 2,283  | 7,667  | 5,770 | 18,637                 | 1,212         | 3,726     | 2,905   | 5,052    | 10,244 | 2,614     | 832        | 2,242  | 1,801    | 9,704    | 1,723 | 22,687 | 2,417   | 3,682 | 23,953 | 1,420 | 1,852     | 7,442  | 5,847   | 12,925  |        | 181,540 |       |

| Appendix 1C: Key Performance Indicators for Non-life Insurers |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
|---------------------------------------------------------------|----------|----------|---------|---------|--------------------------------------------------|-----------|---------|----------|---------|-----------|------------|---------|----------|----------|---------|---------|---------|---------|---------|---------|-----------|---------|---------|---------|---------|---------|---------------|
|                                                               | Alliance | Allied   | Altfin  | C.B.Z   | Cell Insurance Company<br>Promoter Cell Business | Champions | Clarion | Credsura | Eagle   | Evolution | Excellence | Global  | Hamilton | Heritage | KMFS    | Nicoz   | Quality | Regal   | RM      | Safel   | Sanctuary | Tetrad  | Hail    | Tristar | Zimnat  | Lion    | Total/Average |
| Capital Adequacy                                              |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
| Capital Position (\$000)                                      | 4,192    | 773      | 1,048   | 1,633   | 2,719                                            | 2,683     | 1,643   | 1,492    | 2,735   | 3,187     | 1,656      | 516     | 1,017    | 844      | 970     | 1,091   | 10,966  | 1,163   | 2,660   | 12,778  | 1,389     | 1,349   | 3,494   | 1,077   | 3,832   | 2,366   |               |
| Capital Maintenance Ratio (CMR)                               | 279.43%  | 51.56%   | 69.87%  | 108.87% | 181.29%                                          | 178.87%   | 109.53% | 99.44%   | 182.32% | 212.49%   | 110.37%    | 34.37%  | 67.78%   | 56.23%   | 64.68%  | 72.72%  | 731.07% | 77.53%  | 177.33% | 851.88% | 92.59%    | 89.91%  | 232.94% | 71.83%  | 255.45% | 157.75% |               |
| Equity/Total Assets Ratio                                     | 18.30%   | 33.87%   | 13.67%  | 28.30%  | 14.59%                                           | 221.45%   | 44.10%  | 51.34%   | 54.14%  | 31.11%    | 63.34%     | 61.97%  | 45.35%   | 46.84%   | 10.00%  | 63.29%  | 48.34%  | 48.12%  | 72.23%  | 53.35%  | 97.81%    | 72.82%  | 46.95%  | 18.43%  | 29.65%  | 36.85%  |               |
| Solvency Margin                                               | 46.12%   | 52.31%   | 33.64%  | 46.57%  | 58.49%                                           | 63.70%    | 43.86%  | 39.84%   | 94.20%  | 44.63%    | 84.77%     | 79.28%  | 68.56%   | 100.90%  | 21.04%  | 135.62% | 65.48%  | 59.98%  | 172.60% | 65.31%  | >175%     | 336.42% | 101.06% | 29.40%  | 42.72%  | 60.71%  |               |
| Asset Quality                                                 |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
| Total Assets (\$000)                                          | 22,905   | 2,283    | 7,667   | 5,770   | 18,637                                           | 1,212     | 3,725   | 2,905    | 5,052   | 10,244    | 2,614      | 832     | 2,242    | 1,801    | 9,704   | 1,723   | 22,687  | 2,417   | 3,682   | 23,953  | 1,420     | 1,852   | 7,442   | 5,847   | 12,925  | 181,540 |               |
| Investments to Assets                                         | 42.90%   | 11.78%   | 14.49%  | 42.35%  | 39.10%                                           | 0.00%     | 12.60%  | 18.31%   | 16.26%  | 27.79%    | 22.52%     | 4.46%   | 13.25%   | 21.68%   | 29.99%  | 32.21%  | 41.72%  | 61.81%  | 4.50%   | 62.33%  | 2.46%     | 40.58%  | 51.51%  | 38.94%  | 41.32%  | 37.83%  |               |
| Non-Profitable Assets/Total Assets                            | 57.10%   | 88.22%   | 85.51%  | 57.65%  | 60.90%                                           | 100.00%   | 87.40%  | 81.69%   | 83.74%  | 72.21%    | 77.48%     | 95.54%  | 86.75%   | 78.32%   | 70.01%  | 67.79%  | 58.28%  | 38.19%  | 95.50%  | 37.67%  | 97.54%    | 59.42%  | 48.49%  | 61.06%  | 58.68%  | 62.17%  |               |
| Investment in Fixed Assets/Total Assets                       | 9.97%    | 23.72%   | 4.63%   | 4.77%   | 2.38%                                            | 0.00%     | 39.43%  | 43.37%   | 46.21%  | 28.18%    | 39.55%     | 70.96%  | 34.53%   | 25.70%   | 24.62%  | 4.99%   | 12.35%  | 17.42%  | 61.68%  | 4.52%   | 95.18%    | 49.37%  | 14.60%  | 3.25%   | 5.42%   | 15.43%  |               |
| Prescribed Assets Ratio                                       | 0.00%    | 0.00%    | 0.00%   | 0.00%   | 0.00%                                            | 0.00%     | 0.89%   | 0.00%    | 0.00%   | 0.00%     | 0.00%      | 0.00%   | 0.00%    | 0.00%    | 0.00%   | 1.54%   | 1.53%   | 0.00%   | 1.38%   | 0.00%   | 0.00%     | 0.00%   | 0.00%   | 2.45%   | 0.06%   | 0.50%   |               |
| Premium Debtors/Gross Premium                                 | 73.70%   | 287.62%  | 255.76% | 67.53%  | 45.67%                                           | 96.21%    | 33.32%  | 31.74%   | 85.90%  | 68.00%    | 19.52%     | 19.79%  | 167.55%  | 153.30%  | 166.64% | 547.72% | 75.82%  | 34.63%  | 5.33%   | 20.54%  | 38.21%    | 53.83%  | 83.48%  | 79.79%  | 59.67%  | 65.21%  |               |
| Premium Debtors/Total Assets                                  | 21.86%   | 52.44%   | 25.19%  | 39.91%  | 30.42%                                           | 100.00%   | 22.86%  | 16.35%   | 24.52%  | 27.87%    | 7.01%      | 5.13%   | 31.70%   | 32.86%   | 41.70%  | 35.93%  | 30.21%  | 5.54%   | 0.68%   | 7.71%   | 1.47%     | 9.41%   | 13.18%  | 40.54%  | 39.45%  | 25.58%  |               |
| Reinsurance                                                   |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
| Risk Retention Ratio                                          | 42.10%   | 92.51%   | 45.96%  | 30.49%  | 16.65%                                           | 100.00%   | 65.30%  | 94.75%   | 38.10%  | 54.75%    | 61.97%     | 75.00%  | 68.51%   | 66.63%   | 49.36%  | 81.72%  | 62.31%  | 74.16%  | 97.66%  | 74.92%  | 97.51%    | 76.69%  | 22.75%  | 49.26%  | 49.05%  | 50.30%  |               |
| Reinsurance Creditors/Reinsurance Premium                     | 165.55%  | 1543.54% | 323.04% | 77.56%  | 81.45%                                           | 0.00%     | 134.96% | 0.00%    | 83.30%  | 139.36%   | 84.61%     | 104.69% | 290.61%  | 54.02%   | 343.08% | 220.65% | 81.66%  | 0.00%   | 462.58% | 0.00%   | 100.00%   | 248.74% | 105.57% | 109.47% | 55.65%  | 102.61% |               |
| Reinsurers' Share of O/S Claims to O/S Claims                 | 68.21%   | 65.45%   | 66.97%  | 22.59%  | 0.00%                                            | 0.00%     | 36.73%  | 44.44%   | 48.76%  | 54.73%    | 16.73%     | 26.02%  | 50.31%   | 70.34%   | 0.00%   | 70.00%  | 74.17%  | 52.28%  | 4.81%   | 73.78%  | 2.51%     | 6.58%   | 50.18%  | 50.91%  | 32.86%  | 52.37%  |               |
| Actuarial                                                     |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
| UPR (\$000)                                                   | 3,017    | 579      | 255     | 1,497   | 1,750                                            | 1,354     | 207     | 527      | 376     | 1,724     | 302        | 24      | 490      | 214      | 1,805   | 107     | 5,409   | 1,089   | 228     | 5,080   | 27        | 164     | 1,573   | 1,711   | 2,117   | 31,626  |               |
| IBNR (\$000)                                                  | 4,734    | 57       | 286     | 55      | 325                                              | -         | 83      | 80       | 226     | 402       | 17         | 4       | 4        | 51       | 79      | 21      | 282     | 10      | 33      | 1,564   | -         | 17      | 13      | 190     | 474     | 9,009   |               |
| Technical Reserves/Capital                                    | 184.91%  | 82.22%   | 51.62%  | 95.04%  | 76.32%                                           | 50.47%    | 17.65%  | 40.72%   | 21.99%  | 66.70%    | 19.25%     | 5.43%   | 48.62%   | 31.52%   | 194.18% | 11.71%  | 51.90%  | 94.50%  | 9.81%   | 51.99%  | 1.95%     | 14.31%  | 45.41%  | 176.48% | 67.64%  | 60.74%  |               |
| (Outstanding Claims+IBNR)/Capital                             | 146.09%  | 16.95%   | 129.10% | 27.30%  | 30.29%                                           | 11.56%    | 23.26%  | 25.95%   | 21.54%  | 30.13%    | 9.39%      | 5.89%   | 15.28%   | 22.82%   | 399.87% | 5.14%   | 5.84%   | 8.94%   | 1.90%   | 19.25%  | 0.19%     | 3.29%   | 17.78%  | 31.63%  | 50.78%  | 30.58%  |               |
| Earnings                                                      |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
| Profit After Tax (\$000)                                      | 229      | 28       | (64)    | (301)   | 206                                              | 122       | 626     | (24)     | (8)     | (134)     | 140        | 46      | 13       | 11       | (307)   | (11)    | 1,238   | (211)   | 138     | 1,127   | (30)      | 8       | 57      | 172     | 524     | 3,594   |               |
| Return on Equity                                              | 5.46%    | 3.61%    | -6.11%  | -18.42% | 7.57%                                            | 4.55%     | 38.09%  | -1.64%   | -0.29%  | -4.19%    | 8.44%      | 8.97%   | 1.32%    | 1.34%    | -31.64% | -0.98%  | 11.29%  | -18.14% | 5.18%   | 8.82%   | -2.18%    | 0.57%   | 1.63%   | 15.92%  | 13.66%  | 5.37%   |               |
| Return on Assets                                              | 1.00%    | 1.22%    | -0.83%  | -5.21%  | 1.11%                                            | 10.08%    | 16.80%  | -0.84%   | -0.16%  | -1.30%    | 5.34%      | 5.56%   | 0.60%    | 0.63%    | -3.16%  | -0.62%  | 5.46%   | -8.73%  | 3.74%   | 4.70%   | -2.13%    | 0.41%   | 0.77%   | 2.93%   | 4.05%   | 1.98%   |               |
| Loss Ratio                                                    | 56.13%   | 20.55%   | 53.96%  | 109.75% | 64.77%                                           | 27.85%    | 30.30%  | 43.04%   | 36.09%  | 62.99%    | 36.99%     | 1.83%   | 40.02%   | 42.89%   | 68.75%  | -11.65% | 34.48%  | 37.86%  | -9.59%  | 42.75%  | 5.70%     | 30.38%  | 70.20%  | 27.30%  | 34.05%  | 44.06%  |               |
| Net Commission Ratio                                          | -1.24%   | 12.33%   | -5.03%  | -11.41% | -19.29%                                          | 54.22%    | -7.69%  | 12.18%   | -19.07% | 8.42%     | 11.94%     | 12.28%  | 4.89%    | 6.28%    | 6.07%   | 59.71%  | 12.00%  | 6.53%   | 9.69%   | 9.42%   | 14.69%    | 1.78%   | -9.82%  | 3.13%   | 9.34%   | 5.90%   |               |
| Net Expense Ratio                                             | 36.91%   | 49.17%   | 87.35%  | 40.87%  | 47.58%                                           | 0.00%     | 30.74%  | 52.74%   | 83.72%  | 40.40%    | 15.75%     | 49.97%  | 54.53%   | 49.87%   | 67.06%  | 64.39%  | 27.94%  | 49.09%  | 55.18%  | 21.00%  | 195.75%   | 78.26%  | 34.88%  | 55.93%  | 27.55%  | 36.65%  |               |
| Combined Ratio                                                | 91.81%   | 82.06%   | 136.28% | 139.22% | 93.05%                                           | 82.07%    | 53.35%  | 107.97%  | 100.73% | 111.80%   | 64.68%     | 64.08%  | 99.45%   | 99.04%   | 141.88% | 112.45% | 74.42%  | 93.47%  | 55.29%  | 73.17%  | 216.14%   | 110.41% | 95.26%  | 86.35%  | 70.93%  | 86.62%  |               |
| Underwriting Margin                                           | 8.19%    | 17.94%   | -36.28% | -39.22% | 6.95%                                            | 17.93%    | 46.65%  | -7.97%   | -0.73%  | -11.80%   | 35.32%     | 35.92%  | 0.55%    | 0.96%    | -41.88% | -12.45% | 25.58%  | 6.53%   | 44.71%  | 26.83%  | -116.14%  | -10.41% | 4.74%   | 13.65%  | 29.07%  | 13.38%  |               |
| Investment Income/NPW Ratio                                   | 5.27%    | -0.01%   | 0.00%   | 2.94%   | 0.04%                                            | 5.28%     | 0.00%   | 0.00%    | 1.95%   | 2.94%     | 1.16%      | 0.00%   | 2.63%    | 0.00%    | 2.22%   | 0.00%   | 1.95%   | 0.70%   | 0.09%   | 4.33%   | 0.00%     | 7.54%   | 13.32%  | 1.18%   | 0.29%   | 2.39%   |               |
| Investment Income/Total Financial Assets                      | 1.53%    | -0.02%   | 0.00%   | 1.25%   | 0.01%                                            | 0.00%     | 0.00%   | 0.00%    | 1.31%   | 2.37%     | 1.14%      | 0.00%   | 2.57%    | 0.00%    | 0.92%   | 0.00%   | 1.21%   | 0.14%   | 0.24%   | 2.00%   | 0.00%     | 2.49%   | 0.93%   | 0.81%   | 0.22%   | 1.26%   |               |
| Liquidity                                                     |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
| Working Capital (\$000)                                       | 854      | 189      | 881     | 1,111   | 6,697                                            | (512)     | 174     | 408      | 9       | 735       | 445        | 15      | 17       | 279      | (3,648) | 737     | 5,388   | (527)   | 816     | 9,994   | 37        | 496     | 644     | 262     | 1,126   | 26,628  |               |
| Current ratio                                                 | 104.57%  | 112.90%  | 116.52% | 127.98% | 160.21%                                          | 70.30%    | 108.35% | 133.22%  | 100.41% | 111.37%   | 150.98%    | 106.95% | 101.39%  | 134.24%  | 57.37%  | 311.38% | 152.03% | 56.84%  | 237.47% | 196.38% | 220.18%   | 214.16% | 116.49% | 106.63% | 114.47% | 125.34% |               |
| Acid Test ratio                                               | 46.88%   | 12.53%   | 0.24%   | 51.13%  | 62.16%                                           | 0.00%     | 22.54%  | 42.48%   | 17.95%  | 41.66%    | 37.49%     | 13.27%  | 4.14%    | 17.94%   | 5.91%   | 1.09%   | 51.40%  | 15.72%  | 27.63%  | 119.81% | 112.53%   | 171.36% | 51.89%  | 21.14%  | 26.02%  | 44.58%  |               |
| Market Shares                                                 |          |          |         |         |                                                  |           |         |          |         |           |            |         |          |          |         |         |         |         |         |         |           |         |         |         |         |         |               |
| Market Share Based on GWP                                     | 9.54%    | 0.58%    | 1.06%   | 4.79%   | 17.44%                                           | 1.77%     | 3.59%   | 2.10%    | 2.03%   | 5.89%     | 1.32%      | 0.30%   | 0.60%    | 0.54%    | 3.41%   | 0.16%   | 12.69%  | 0.54%   | 0.66%   | 12.63%  | 0.08%     | 0.45%   | 1.65%   | 4.17%   | 12.00%  | 100%    |               |
| Market Share Based on NWP                                     | 7.99%    | 1.08%    | 0.97%   | 2.90%   | 5.77%                                            | 3.52%     | 4.66%   | 3.96%    | 1.53%   | 6.42%     | 1.62%      | 0.45%   | 0.81%    | 0.72%    | 3.35%   | 0.26%   | 15.72%  | 0.80%   | 1.28%   | 18.81%  | 0.15%     | 0.69%   | 0.75%   | 4.09%   | 11.70%  | 100%    |               |
| Market Share Based on Total Assets                            | 12.62%   | 1.26%    | 4.22%   | 3.18%   | 10.27%                                           | 0.67%     | 2.05%   | 1.60%    | 2.78%   | 5.64%     | 1.44%      | 0.46%   | 1.24%    | 0.99%    | 5.35%   | 0.95%   | 12.50%  | 1.33%   | 2.03%   | 13.19%  | 0.78%     | 1.02%   | 4.10%   | 3.22%   | 7.12%   | 100%    |               |

**Appendix 2A: Statement of Comprehensive Income-Reinsurers U\$ '000**

|                               | Baobab Re    | Collonade Re | FBC Re       | FMRE         | Grand Re     | New Re     | Tropical Re  | ZB Re        | Zep-Re       | Total         |
|-------------------------------|--------------|--------------|--------------|--------------|--------------|------------|--------------|--------------|--------------|---------------|
| <b>Gross Written Premiums</b> | <b>3,849</b> | <b>1,080</b> | <b>4,342</b> | <b>5,438</b> | <b>2,213</b> | <b>521</b> | <b>3,403</b> | <b>5,128</b> | <b>2,031</b> | <b>28,004</b> |
| Reinsurance Premiums          | 580          | 302          | 1,219        | 1,106        | 1,000        | 186        | 1,047        | 2,124        | 177          | <b>7,740</b>  |
| <b>Net Written Premiums</b>   | <b>3,270</b> | <b>778</b>   | <b>3,122</b> | <b>4,332</b> | <b>1,212</b> | <b>335</b> | <b>2,357</b> | <b>3,004</b> | <b>1,854</b> | <b>20,264</b> |
| Unearned Premium              | 440          | (131)        | 36           | 875          | 327          | (123)      | 137          | 643          | (201)        | <b>2,003</b>  |
| <b>Net Earned Premiums</b>    | <b>2,830</b> | <b>908</b>   | <b>3,086</b> | <b>3,457</b> | <b>886</b>   | <b>458</b> | <b>2,220</b> | <b>2,361</b> | <b>2,056</b> | <b>18,261</b> |
| Net Incurred Claims           | 1,164        | 51           | 1,350        | 1,309        | 215          | 72         | 1,133        | (541)        | 548          | <b>5,302</b>  |
| Net Commission Incurred       | 1,014        | 176          | 1,028        | 961          | 250          | 111        | 609          | 853          | 525          | <b>5,528</b>  |
| <b>Technical Result</b>       | <b>652</b>   | <b>681</b>   | <b>707</b>   | <b>1,187</b> | <b>421</b>   | <b>275</b> | <b>478</b>   | <b>2,048</b> | <b>982</b>   | <b>7,431</b>  |
| Operating Expenses            | 1,157        | 224          | 297          | 926          | 287          | 124        | 197          | 1,778        | 66           | <b>5,055</b>  |
| <b>Underwriting Result</b>    | <b>(505)</b> | <b>457</b>   | <b>411</b>   | <b>261</b>   | <b>134</b>   | <b>151</b> | <b>280</b>   | <b>271</b>   | <b>916</b>   | <b>2,376</b>  |
| <b>Investment</b>             |              |              |              |              |              |            |              |              |              |               |
| Investment Income             | 7            | 4            | 233          | 101          | 10           | -          | 61           | 87           | 18           | <b>521</b>    |
| Unrealised Gains/Losses       | -            | -            | (280)        | 14           | (3)          | 1          | -            | -            | -            | <b>(267)</b>  |
| <b>Other Income</b>           | <b>-</b>     | <b>2</b>     | <b>21</b>    | <b>1</b>     | <b>(13)</b>  | <b>-</b>   | <b>5</b>     | <b>-</b>     | <b>-</b>     | <b>17</b>     |
| <b>Profit Before Tax</b>      | <b>(499)</b> | <b>463</b>   | <b>385</b>   | <b>378</b>   | <b>128</b>   | <b>152</b> | <b>347</b>   | <b>358</b>   | <b>935</b>   | <b>2,646</b>  |
| <b>Taxation</b>               | <b>-</b>     | <b>27</b>    | <b>99</b>    | <b>11</b>    | <b>-</b>     | <b>38</b>  | <b>39</b>    | <b>104</b>   | <b>-</b>     | <b>317</b>    |
| <b>Profit After Tax</b>       | <b>(499)</b> | <b>436</b>   | <b>286</b>   | <b>367</b>   | <b>128</b>   | <b>114</b> | <b>308</b>   | <b>254</b>   | <b>935</b>   | <b>2,329</b>  |

| Appendix 2B: Statement of Financial Position-Reinsurers US\$'000 |           |              |        |        |          |        |             |        |         |         |
|------------------------------------------------------------------|-----------|--------------|--------|--------|----------|--------|-------------|--------|---------|---------|
|                                                                  | Baobab Re | Collonade Re | FBC Re | FMRE   | Grand Re | New Re | Tropical Re | ZB Re  | Zep-Re  | Total   |
| <b>ASSETS</b>                                                    |           |              |        |        |          |        |             |        |         |         |
| <b>Non-Current Assets</b>                                        |           |              |        |        |          |        |             |        |         |         |
| Fixed Assets                                                     | 617       | 626          | 286    | 309    | 443      | 258    | 646         | 537    | 420     | 4,142   |
| Investments                                                      | 35,691    | 44           | 2,990  | 2,242  | 8,730    | 720    | 729         | 1,622  | 727     | 53,495  |
|                                                                  | 36,308    | 670          | 3,276  | 2,552  | 9,173    | 978    | 1,374       | 2,159  | 1,147   | 57,637  |
| <b>Technical Assets</b>                                          |           |              |        |        |          |        |             |        |         |         |
| Reinsurers' Share of O/S Claims                                  | 2,507     | 71           | -      | 768    | 1,289    | 53     | 1,588       | -      | -       | 6,276   |
| Deferred Acquisition Cost (DAC)                                  | 1,423     | 20           | 1,143  | 876    | 761      | -      | 312         | -      | 319     | 4,852   |
|                                                                  | 3,930     | 91           | 1,143  | 1,645  | 2,050    | 53     | 1,899       | -      | 319     | 11,129  |
| <b>Current Assets</b>                                            |           |              |        |        |          |        |             |        |         |         |
| Cash & cash equivalents                                          | 78        | 68           | 8,128  | 5,188  | 440      | 317    | 595         | 7,919  | 38      | 22,771  |
| Money Market Investments                                         | 49        | 477          | -      | -      | -        | -      | 2,765       | 82     | -       | 3,373   |
| Current Prescribed Assets                                        | -         | -            | 891    | -      | -        | -      | -           | -      | -       | 891     |
| Premium Receivables                                              | 3,860     | 2,331        | 2,818  | 3,484  | 2,567    | 821    | 2,183       | 2,123  | 882     | 21,069  |
| Inventory and Other Debtors                                      | 4,139     | 201          | 61     | 579    | 78       | 12     | 434         | 206    | 30      | 5,740   |
|                                                                  | 8,126     | 3,077        | 11,899 | 9,250  | 3,085    | 1,150  | 5,977       | 10,330 | 950     | 53,844  |
| <b>TOTAL ASSETS</b>                                              | 48,365    | 3,838        | 16,317 | 13,446 | 14,307   | 2,181  | 9,251       | 12,489 | 2,416   | 122,610 |
| <b>Liabilities</b>                                               |           |              |        |        |          |        |             |        |         |         |
| Deferred Tax Liabilities                                         | -         | 3            | (277)  | 198    | 1        | -      | 257         | 227    | -       | 410     |
| Long term loan                                                   | -         | -            | -      | -      | 300      | -      | -           | -      | -       | 300     |
| Current Tax provisions                                           | 301       | 70           | 14     | -      | -        | 48     | -           | 249    | -       | 682     |
| Gross Outstanding Claims                                         | 4,800     | 63           | 929    | 1,111  | 570      | 182    | 2,296       | 352    | 249     | 10,551  |
| IBNR                                                             | 515       | 39           | 818    | 1,330  | 357      | 46     | 874         | 470    | 618     | 5,066   |
| UPR                                                              | 3,794     | 782          | 3,405  | 3,205  | 1,827    | 280    | 1,558       | 2,084  | 816     | 17,750  |
| Retrocession Creditors                                           | 3,842     | -            | 2,022  | 1,166  | 1,263    | 520    | 1,319       | 929    | -       | 11,060  |
| Other Creditors                                                  | 4,808     | 1,192        | 377    | 116    | 248      | 60     | 169         | 959    | -       | 7,929   |
| <b>Total Liabilities</b>                                         | 18,059    | 2,150        | 7,288  | 7,126  | 4,565    | 1,136  | 6,472       | 5,269  | 1,683   | 53,747  |
| <b>SHAREHOLDERS' EQUITY</b>                                      |           |              |        |        |          |        |             |        |         |         |
| Share Capital                                                    | 500       | 1,056        | 600    | 1      | 400      | -      | 0           | 5      | (1,288) | 1,274   |
| Share Premium                                                    | 26,091    | -            | 2,203  | 3,934  | -        | 700    | 410         | 2,495  | -       | 35,833  |
| Revaluation & Other Reserves                                     | 7,747     | 26           | 2,870  | 254    | 5,260    | 182    | -           | 11     | -       | 16,350  |
| Retained Profit                                                  | (4,032)   | 607          | 3,356  | 2,132  | 4,082    | 163    | 2,368       | 4,710  | 2,020   | 15,406  |
| <b>Shareholders's Equity</b>                                     | 30,306    | 1,689        | 9,029  | 6,320  | 9,742    | 1,045  | 2,778       | 7,221  | 733     | 68,863  |
| <b>TOTAL EQUITY &amp; LIABILITIES</b>                            | 48,365    | 3,838        | 16,317 | 13,446 | 14,307   | 2,181  | 9,251       | 12,489 | 2,416   | 122,610 |

| Appendix 2C: Key Performance Indicators for Reinsurers |           |           |         |         |          |         |             |         |          |               |
|--------------------------------------------------------|-----------|-----------|---------|---------|----------|---------|-------------|---------|----------|---------------|
|                                                        | Baobab Re | Colonnade | FBC Re  | FMRE    | Grand Re | New Re  | Tropical Re | ZB Re   | Zep - Re | Total/Average |
| <b>Indicator</b>                                       |           |           |         |         |          |         |             |         |          |               |
| <b>Capital Adequacy</b>                                |           |           |         |         |          |         |             |         |          |               |
| Shareholders' Equity (Capital Base) \$ 000             | 30,306    | 1,689     | 9,029   | 6,320   | 9,742    | 1,045   | 2,778       | 7,221   | 733      | 7,651         |
| Capital Maintenance Ratio (CMR)                        | 2020.40%  | 112.58%   | 601.95% | 421.35% | 649.49%  | 69.67%  | 185.22%     | 481.37% | 48.85%   | 510.10%       |
| Equity/Total Assets Ratio                              | 62.66%    | 44.00%    | 55.33%  | 47.00%  | 68.09%   | 47.91%  | 30.03%      | 57.81%  | 30.33%   | 56.16%        |
| Solvency Margin                                        | 240.58%   | 55.19%    | 77.89%  | 50.01%  | 295.69%  | 61.76%  | 31.63%      | 48.49%  | 18.53%   | 94.98%        |
| <b>Asset Quality</b>                                   |           |           |         |         |          |         |             |         |          |               |
| Total Assets (\$ 000)                                  | 48,365    | 3,838     | 16,317  | 13,446  | 14,307   | 2,181   | 9,251       | 12,489  | 2,416    | 122,610       |
| Investments to Assets                                  | 74.06%    | 15.37%    | 73.60%  | 55.26%  | 64.09%   | 47.55%  | 44.19%      | 77.06%  | 31.67%   | 65.68%        |
| Non-Profitable Assets/Total Assets                     | 25.94%    | 84.63%    | 26.40%  | 44.74%  | 35.91%   | 52.45%  | 55.81%      | 22.94%  | 68.33%   | 34.32%        |
| Investment in Fixed Assets/Total Assets                | 1.28%     | 16.30%    | 1.75%   | 2.30%   | 3.09%    | 11.83%  | 6.98%       | 4.30%   | 17.40%   | 3.38%         |
| Prescribed Assets Ratio                                | 0.00%     | 0.00%     | 5.46%   | 0.00%   | 0.00%    | 0.00%   | 0.00%       | 0.00%   | 0.00%    | 0.73%         |
| Premium Debtors/Gross Premium                          | 100.29%   | 215.94%   | 64.92%  | 64.06%  | 116.02%  | 157.58% | 64.14%      | 41.40%  | 43.43%   | 75.24%        |
| Premium Debtors/Total Assets                           | 7.98%     | 60.73%    | 17.27%  | 25.91%  | 17.94%   | 37.64%  | 23.60%      | 17.00%  | 36.51%   | 17.18%        |
| <b>Reinsurance</b>                                     |           |           |         |         |          |         |             |         |          |               |
| Risk Retention Ratio                                   | 84.94%    | 72.05%    | 71.92%  | 79.67%  | 54.80%   | 64.30%  | 69.25%      | 58.57%  | 91.29%   | 72.36%        |
| Retrocession Creditors/Retrocession Premium            | 662.89%   | 0.00%     | 165.85% | 105.47% | 126.24%  | 279.57% | 126.02%     | 43.72%  | 0.00%    | 142.89%       |
| Reinsurers' Share of O/S Claims to O/S Claims          | 52.23%    | 113.17%   | 0.00%   | 69.16%  | 226.32%  | 29.12%  | 69.16%      | 0.00%   | 0.00%    | 59.49%        |
| <b>Actuarial</b>                                       |           |           |         |         |          |         |             |         |          |               |
| UPR                                                    | 3,794     | 782       | 3,405   | 3,205   | 1,827    | 280     | 1,558       | 2,084   | 816      | 17,750        |
| IBNR                                                   | 4,800     | 63        | 929     | 1,111   | 570      | 182     | 2,296       | 352     | 249      | 10,551        |
| Technical Reserves/Capital                             | 28.36%    | 50.04%    | 48.00%  | 68.29%  | 24.60%   | 44.21%  | 138.70%     | 33.73%  | 145.34%  | 41.10%        |
| (Outstanding Claims+IBNR)/Capital                      | 17.54%    | 6.04%     | 19.35%  | 38.61%  | 9.51%    | 21.82%  | 114.08%     | 33.73%  | 118.27%  | 22.68%        |
| <b>Earnings</b>                                        |           |           |         |         |          |         |             |         |          |               |
| Profit After Tax                                       | (499)     | 436       | 286     | 367     | 128      | 114     | 308         | 254     | 935      | 2,329         |
| Return on Equity                                       | -1.65%    | 25.82%    | 3.16%   | 5.81%   | 1.31%    | 10.91%  | 11.09%      | 3.52%   | 127.53%  | 3.38%         |
| Return on Assets                                       | -1.03%    | 11.36%    | 1.75%   | 2.73%   | 0.89%    | 5.23%   | 3.33%       | 2.03%   | 38.68%   | 1.90%         |
| Loss Ratio                                             | 41.15%    | 5.66%     | 43.75%  | 37.87%  | 24.24%   | 15.72%  | 51.04%      | -22.91% | 26.67%   | 29.04%        |
| Net Commission Ratio                                   | 35.82%    | 19.35%    | 33.32%  | 27.80%  | 28.26%   | 24.24%  | 27.44%      | 36.14%  | 25.55%   | 30.27%        |
| Net Expense Ratio                                      | 40.88%    | 24.70%    | 9.62%   | 26.77%  | 32.40%   | 27.07%  | 8.89%       | 75.30%  | 3.20%    | 27.68%        |
| Combined Ratio                                         | 117.86%   | 49.72%    | 86.69%  | 92.45%  | 84.91%   | 67.03%  | 87.36%      | 88.53%  | 55.42%   | 86.99%        |
| Underwriting Margin                                    | -17.86%   | 50.28%    | 13.31%  | 7.55%   | 15.09%   | 32.97%  | 12.64%      | 11.47%  | 44.58%   | 13.01%        |
| Investment Income/NPW Ratio                            | 0.20%     | 0.51%     | 7.46%   | 2.33%   | 0.81%    | 0.00%   | 2.61%       | 2.91%   | 0.97%    | 2.57%         |
| Investment Income/Total Financial Assets               | 0.02%     | 3.52%     | 2.10%   | 1.36%   | 0.11%    | 0.00%   | 4.64%       | 0.92%   | 2.36%    | 0.68%         |
| <b>Liquidity</b>                                       |           |           |         |         |          |         |             |         |          |               |
| Working Capital                                        | (1,195)   | 2,211     | 6,131   | 3,885   | 1,118    | 127     | 1,573       | 6,020   | (414)    | 19,455        |
| Current ratio                                          | 90.98%    | 330.82%   | 188.72% | 155.42% | 127.83%  | 111.80% | 124.96%     | 239.67% | 75.38%   | 142.74%       |
| Acid Test ratio                                        | 0.96%     | 56.94%    | 117.62% | 74.00%  | 10.94%   | 29.46%  | 53.30%      | 185.64% | 2.28%    | 57.44%        |
| <b>Market Shares</b>                                   |           |           |         |         |          |         |             |         |          |               |
| Market Share Based on GPW                              | 13.75%    | 3.85%     | 15.50%  | 19.42%  | 7.90%    | 1.86%   | 12.15%      | 18.31%  | 7.25%    | 100%          |
| Market Share Based on NPW                              | 16.14%    | 3.84%     | 15.41%  | 21.38%  | 5.98%    | 1.65%   | 11.63%      | 14.82%  | 9.15%    | 100%          |
| Market Share Based on Total Assets                     | 39.45%    | 3.13%     | 13.31%  | 10.97%  | 11.67%   | 1.78%   | 7.54%       | 10.19%  | 1.97%    | 100%          |

Appendix 3A: Statement of Comprehensive Income for Brokers US\$'000

|                          | Alexander<br>Forbes | Ambassador | Armour<br>Khan | Auto &<br>General | Broksure | Capitol | Care | Eaton &<br>Youngs | Eureka | Glenrand | Goldstick | Hostcare | HRIB  | Hunt<br>Adams | Insuraverse | L.A.<br>Guard | Marsh | Matden | Minerva - Risk<br>Solutions | Momentum | Navistar | Paul<br>Mkondo | Perpro | Progressive | Rainbow | SATIB | TIB | Victory | ZIB   | Total  |
|--------------------------|---------------------|------------|----------------|-------------------|----------|---------|------|-------------------|--------|----------|-----------|----------|-------|---------------|-------------|---------------|-------|--------|-----------------------------|----------|----------|----------------|--------|-------------|---------|-------|-----|---------|-------|--------|
| Premium Written          | 2,075               | 32         | 223            | 60                | 148      | 1,125   | 528  | 1,525             | 679    | 752      | 80        | 3        | 2,464 | 1,234         | 606         | 74            | 3,101 | 63     | 4,430                       | 713      | 608      | 30             | 89     | 1,006       | 29      | 613   | 521 | 93      | 1,735 | 24,639 |
| Premium Payable          | 1,720               | 27         | 196            | 53                | 123      | 916     | 425  | 1,271             | 516    | 619      | 61        | 3        | 2,052 | 1,029         | 519         | 64            | 2,515 | 58     | 3,615                       | 607      | 494      | 24             | 78     | 756         | 25      | 465   | 417 | 75      | 1,464 | 20,186 |
| Brokerage Commission     | 354                 | 5          | 27             | 7                 | 25       | 208     | 103  | 254               | 163    | 133      | 19        | 0        | 412   | 205           | 87          | 10            | 586   | 5      | 815                         | 106      | 114      | 6              | 11     | 250         | 4       | 148   | 104 | 19      | 271   | 4,453  |
| less Commission paid     | 13                  | 0          | 0              | 2                 | 0        | 0       | 0    | 1                 | 0      | 0        | 2         | 0        | 83    | 37            | 0           | 0             | 2     | 2      | 0                           | 0        | 0        | 0              | 1      | 16          |         | 0     | 0   | 0       | 0     | 160    |
| Net Brokerage Commission | 342                 | 5          | 27             | 5                 | 25       | 208     | 103  | 253               | 163    | 133      | 17        | 0        | 330   | 168           | 87          | 10            | 584   | 3      | 815                         | 106      | 114      | 6              | 10     | 234         | 4       | 148   | 104 | 19      | 271   | 4,293  |
| Other Income             | 39                  | 2          | 0              | 13                | 0        | 0       | 0    | 19                | 51     | 17       | 0         | 2        | 0     | 3             | 12          | 0             | 10    | 0      | 0                           | 13       | 7        | 30             | 56     | 0           | 0       | 4     | 10  | 40      | 63    | 390    |
| Admin Expenses           | 336                 | 6          | 22             | 18                | 21       | 205     | 104  | 205               | 205    | 152      | 16        | 5        | 190   | 159           | 90          | 10            | 269   | 15     | 726                         | 78       | 93       | 31             | 55     | 263         | 5       | 169   | 109 | 52      | 325   | 3,932  |
| Profit Before Tax        | 45                  | 1          | 6              | 1                 | 5        | 3       | (1)  | 68                | 8      | (2)      | 1         | (3)      | 140   | 12            | 10          | (0)           | 325   | (12)   | 89                          | 41       | 28       | 5              | 11     | (29)        | (1)     | (18)  | 4   | 6       | 9     | 751    |
| Taxation                 | 12                  | 0          | 1              | 0                 | 1        | 0       | 0    | 19                | 0      | 0        | 0         | 0        | 36    | 0             | 2           | 2             | 18    | 0      | 23                          | 9        | 0        | 0              | 0      | 0           | 0       | 0     | 0   | 2       | 2     | 128    |
| Profit after Tax         | 34                  | 0          | 4              | 0                 | 4        | 3       | (1)  | 49                | 8      | (2)      | 0         | (3)      | 104   | 12            | 7           | (2)           | 307   | (12)   | 66                          | 32       | 28       | 5              | 11     | (29)        | (1)     | (18)  | 4   | 4       | 8     | 623    |

APPENDIX 3B: STATEMENT OF FINANCIAL POSITION-US\$('000)

|                            | Alexander<br>Forbes | Ambassador | Armour<br>Khan | Auto &<br>General | Broksure | Capitol | Care | Eaton &<br>Youngs | Eureka | Glenrand | Goldstick | Hostcare | HRIB  | Hunt<br>Adams | Insuraverse | L.A<br>Guard | Marsh | Matden | Minerva - Risk<br>Solutions | Momentum | Navistar | Paul<br>Mkondo | Perpro | Progressive | Rainbow | SATIB | TIB | Victory | ZIB   | Total  |
|----------------------------|---------------------|------------|----------------|-------------------|----------|---------|------|-------------------|--------|----------|-----------|----------|-------|---------------|-------------|--------------|-------|--------|-----------------------------|----------|----------|----------------|--------|-------------|---------|-------|-----|---------|-------|--------|
| Shareholder's Equity       |                     |            |                |                   |          |         |      |                   |        |          |           |          |       |               |             |              |       |        |                             |          |          |                |        |             |         |       |     |         |       |        |
| Share Capital              | 977                 | 127        | 32             | 310               | 20       | 116     | 77   | 100               | 50     | 50       | 0         | 5        | 1     | 1             | 0           | 100          | 5     | 0      | 12                          | 100      | 187      | 20             | 40     | 120         | 15      | 0     | 50  | 200     | 50    | 2,765  |
| Share Premium              | 0                   | 0          | 0              | 84                | 68       | 0       | 37   | 0                 | 0      | 0        | 0         | 0        | 0     | 275           | 0           | 0            | 0     | 10     | 0                           | 0        | 126      | 0              | 0      | 0           | 0       | 0     | 0   | 168     | 0     | 769    |
| Non-Distributable Reserves | 0                   | 0          | 100            | 37                | 12       | 121     | 60   | 82                | 19     | 58       | 70        | 141      | 21    | 134           | 0           | 0            | 412   | 0      | 0                           | 319      | 83       | 27             | 20     | 100         | 0       | 140   | 0   | 10      | 196   | 2,162  |
| Retained Income            | (418)               | 0          | 4              | 3                 | 4        | 363     | 6    | 251               | 239    | 48       | 0         | 0        | 319   | (294)         | 79          | (2)          | 561   | (12)   | 892                         | 96       | 108      | (46)           | 112    | 467         | (1)     | 55    | 55  | 19      | 73    | 2,983  |
| shareholder's Equity       | 559                 | 127        | 136            | 434               | 104      | 600     | 180  | 433               | 308    | 156      | 70        | 146      | 340   | 117           | 79          | 98           | 979   | (2)    | 904                         | 515      | 377      | 126            | 173    | 687         | 14      | 196   | 105 | 397     | 319   | 8,679  |
| Current liabilities        |                     |            |                |                   |          |         |      |                   |        |          |           |          |       |               |             |              |       |        |                             |          |          |                |        |             |         |       |     |         |       |        |
| Payable Premiums           | 1,277               | 27         | 196            | 0                 | 68       | 252     | 132  | 11                | 118    | 122      | 98        | 3        | 821   | 1,718         | 357         | 54           | 810   | 1      | 2,451                       | 231      | 843      | 28             | 0      | 718         | 2       | 0     | 199 | 93      | 383   | 11,012 |
| Other                      | 204                 | 12         | 0              | 4                 | 0        | 0       | 0    | 0                 | 0      | 0        | 0         | 0        | 0     | 0             | 0           | 0            | 0     | 0      | 191                         | 37       | 150      | 0              | 0      | 0           | 0       | 16    | 0   | 0       | 0     | 614    |
| Brokers commision payable  | 0                   | 0          | 0              | 0                 | 0        | 0       | 0    | 0                 | 0      | 0        | 0         | 0        | 3     | 0             | 0           | 0            | 0     | 0      | 0                           | 0        | 0        | 0              | 0      | 0           | 0       | 0     | 0   | 0       | 0     | 3      |
| Provisions                 | 0                   | 0          | 0              | 0                 | 0        | 31      | 0    | 19                | 0      | 28       | 0         | 0        | 15    | 0             | 0           | 0            | 0     | 0      | 0                           | 0        | 0        | 0              | 0      | 0           | 0       | 0     | 0   | 0       | 0     | 93     |
| Sundry creditors           | 0                   | 0          | 0              | 0                 | 0        | 0       | 1    | 0                 | 0      | 66       | 0         | 0        | 17    | 0             | 0           | 0            | 0     | 0      | 0                           | 0        | 0        | 0              | 0      | 0           | 0       | 0     | 0   | 0       | 0     | 84     |
| Taxation                   | 0                   | 0          | 0              | 0                 | 0        | 0       | 0    | 0                 | 24     | 0        | 0         | 0        | 30    | 0             | 0           | 0            | 0     | 0      | 0                           | 0        | 0        | 0              | 0      | 0           | 0       | 0     | 0   | 0       | 0     | 53     |
| Other                      | 119                 | 0          | 0              | 0                 | 0        | 14      | 0    | 0                 | 878    | 63       | 36        | 0        | 0     | 208           | 0           | 0            | 206   | 25     | 0                           | 0        | 0        | 43             | 3      | 249         | 0       | 0     | 72  | 18      | 464   | 2,398  |
| Total Current Liabilities  | 1,600               | 39         | 196            | 4                 | 68       | 297     | 133  | 30                | 1,020  | 279      | 135       | 3        | 887   | 1,925         | 357         | 54           | 1,016 | 27     | 2,642                       | 268      | 993      | 71             | 3      | 967         | 2       | 16    | 271 | 110     | 847   | 14,258 |
| TOTAL LIABILITIES & EQUITY | 2,160               | 166        | 332            | 438               | 171      | 910     | 313  | 463               | 1,338  | 455      | 205       | 157      | 1,539 | 2,042         | 736         | 152          | 2,013 | 25     | 3,546                       | 938      | 1,371    | 197            | 184    | 2,156       | 433     | 295   | 375 | 508     | 1,180 | 24,799 |
| Non - Current Assets       |                     |            |                |                   |          |         |      |                   |        |          |           |          |       |               |             |              |       |        |                             |          |          |                |        |             |         |       |     |         |       |        |
| Property and Equipment     | 0                   | 0          | 46             | 60                | 0        | 9       | 4    | 0                 | 0      | 0        | 0         | 0        | 0     | 0             | 0           | 0            | 0     | 0      | 0                           | 4        | 2        | 0              | 0      | 0           | 0       | 3     | 1   | 23      | 0     | 153    |
| Land & Buildings           | 0                   | 65         | 75             | 140               | 0        | 404     | 150  | 189               | 53     | 0        | 182       | 150      | 380   | 0             | 250         | 52           | 150   | 0      | 0                           | 0        | 135      | 101            | 0      | 180         | 400     | 115   | 0   | 15      | 229   | 3,414  |
| Furniture and Fittings     | 17                  | 6          | 35             | 41                | 14       | 22      | 1    | 38                | 10     | 9        | 11        | 3        | 9     | 6             | 26          | 6            | 33    | 5      | 41                          | 14       | 22       | 32             | 19     | 12          | 4       | 9     | 9   | 7       | 8     | 471    |
| Motor Vehicles             | 220                 | 31         | 66             | 108               | 20       | 43      | 0    | 0                 | 57     | 52       | 6         | 0        | 218   | 114           | 34          | 19           | 15    | 0      | 1                           | 75       | 29       | 7              | 47     | 28          | 15      | 0     | 47  | 52      | 9     | 1,311  |
| Computer Equipment         | 20                  | 6          | 12             | 5                 | 15       | 6       | 0    | 0                 | 10     | 28       | 3         | 0        | 31    | 4             | 9           | 3            | 7     | 0      | 43                          | 5        | 9        | 3              | 5      | 13          | 4       | 14    | 11  | 8       | 21    | 296    |
| Computer Software          | 0                   | 0          | 7              | 2                 | 0        | 0       | 0    | 0                 | 0      | 28       | 0         | 0        | 0     | 93            | 0           | 1            | 0     | 0      | 0                           | 0        | 0        | 6              | 0      | 1           | 0       | 0     | 0   | 6       | 10    | 154    |
| Investments                | 0                   | 0          | 50             | 32                | 27       | 61      | 17   | 17                | 0      | 100      | 0         | 0        | 0     | 160           | 7           | 34           | 0     | 0      | 0                           | 194      | 16       | 19             | 0      | 30          | 0       | 0     | 0   | 141     | 67    | 969    |
| Other                      | 159                 | 0          | 0              | 0                 | 0        | 0       | 0    | 0                 | 0      | 0        | 0         | 2        | 46    | 87            | 0           | 0            | 0     | 0      | 0                           | 1        | 0        | 7              | 3      | 1           | 0       | 0     | 0   | 200     | 0     | 506    |
| Total Non- Current Assets  | 417                 | 108        | 291            | 387               | 77       | 545     | 173  | 244               | 130    | 217      | 201       | 155      | 684   | 464           | 325         | 114          | 205   | 5      | 86                          | 292      | 212      | 175            | 74     | 265         | 423     | 141   | 69  | 451     | 344   | 7,273  |
| Current Assets             |                     |            |                |                   |          |         |      |                   |        |          |           |          |       |               |             |              |       |        |                             |          |          |                |        |             |         |       |     |         |       |        |
| Commission Receivable      | 0                   | 0          | 27             | 6                 | 0        | 0       | 0    | 0                 | 0      | 149      | 0         | 0        | 822   | 0             | 0           | 11           | 0     | 0      | 0                           | 0        | 0        | 0              | 0      | 1,407       | 0       | 19    | 0   | 3       | 97    | 2,541  |
| Premium Receivables        | 0                   | 0          | 0              | 0                 | 0        | 0       | 132  | 0                 | 0      | 0        | 0         | 0        | 0     | 0             | 0           | 0            | 770   | 0      | 2,310                       | 0        | 0        | 0              | 0      | 0           | 0       | 0     | 0   | 0       | 0     | 0      |
| Accured Investment Income  | 0                   | 0          | 1              | 19                | 0        | 0       | 0    | 0                 | 729    | 56       | 0         | 0        | 0     | 0             | 0           | 0            | 0     | 0      | 0                           | 0        | 0        | 21             | 0      | 0           | 0       | 0     | 0   | 40      | 0     | 866    |
| Other Debtors & Inventory  | 1,411               | 38         | 13             | 0                 | 85       | 121     | 0    | 148               | 356    | 8        | 0         | 2        | 0     | 1,364         | 395         | 7            | 351   | 1      | 456                         | 586      | 1,149    | 0              | 23     | 477         | 0       | 53    | 200 | 12      | 691   | 7,946  |
| Cash & Cash Equivalents    | 332                 | 20         | 0              | 25                | 10       | 244     | 8    | 72                | 123    | 25       | 4         | 0        | 34    | 215           | 16          | 19           | 686   | 19     | 694                         | 60       | 9        | 2              | 87     | 8           | 10      | 83    | 107 | 2       | 48    | 2,962  |
| Total Current Assets       | 1,743               | 58         | 42             | 50                | 94       | 365     | 140  | 220               | 1,208  | 238      | 4         | 2        | 855   | 1,579         | 411         | 37           | 1,808 | 20     | 3,460                       | 646      | 1,158    | 22             | 110    | 1,891       | 10      | 155   | 307 | 57      | 836   | 17,526 |
| TOTAL ASSETS               | 2,160               | 166        | 332            | 438               | 171      | 910     | 313  | 463               | 1,338  | 455      | 205       | 157      | 1,539 | 2,042         | 736         | 152          | 2,013 | 25     | 3,546                       | 938      | 1,371    | 197            | 184    | 2,156       | 433     | 295   | 375 | 508     | 1,180 | 24,799 |

**Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)**

|                              | <b>Minerva Re</b> | <b>Pan African</b> | <b>RBI</b>   | <b>Total</b>      |
|------------------------------|-------------------|--------------------|--------------|-------------------|
| Premium Written              | 10,561,524        | 3,651,918          | 1,364,281    | <b>15,577,723</b> |
| Premium due to Reinsurers    | 7,767,889         | 3,545,009          | 1,326,764    | <b>12,639,662</b> |
| Brokerage Commission         | 2,793,635         | 106,909            | 37,517       | <b>2,938,061</b>  |
| less Commission Paid         | 2,225,288         | -                  | -            | <b>2,225,288</b>  |
| Net Brokerage Commission     | 568,347           | 106,909            | 37,517       | <b>712,773</b>    |
| Other Income                 | -                 | 12,491             | 4,300        | <b>16,791</b>     |
| Less Administration Expenses | 313,200           | 81,885             | 39,781       | <b>434,866</b>    |
| Profit before Tax            | 255,147           | 37,515             | 2,036        | <b>294,698</b>    |
| Taxation                     | 65,701            | 13,265             | 545          | <b>79,511</b>     |
| <b>Profit after Tax</b>      | <b>189,446</b>    | <b>24,250</b>      | <b>1,491</b> | <b>215,187</b>    |

**Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)**

|                                       | Minerva Re        | Pan African      | RBI              | Total             |
|---------------------------------------|-------------------|------------------|------------------|-------------------|
| Share Capital                         | 12,000            | 1,000            | 200,000          | <b>213,000</b>    |
| Share Premium                         | -                 | 84,000           | -                | <b>84,000</b>     |
| Non-Distributable Reserves            | 124,539           |                  | 21,172           | <b>145,711</b>    |
| Retained Income                       | 2,061,058         | 303,165          | (123,726)        | <b>2,240,497</b>  |
| <b>Shareholder's Equity</b>           | <b>2,197,597</b>  | <b>388,165</b>   | <b>97,446</b>    | <b>2,683,208</b>  |
| <b>Liabilities</b>                    |                   |                  |                  |                   |
| <b>Non-Current Liabilities</b>        | -                 | -                | -                | -                 |
| <b>Current Liabilities</b>            |                   |                  |                  |                   |
| Payable Premiums                      | 5,244,678         | 911,523          | 1,542,271        | <b>7,698,472</b>  |
| Provisions                            | -                 | 39,164           | -                | <b>39,164</b>     |
| Sundry creditors                      | -                 | 31,429           | -                | <b>31,429</b>     |
| Other                                 | 4,675,184         | 46,443           | 125,889          | <b>4,847,516</b>  |
| <b>Total Current Liabilities</b>      | <b>9,919,862</b>  | <b>1,028,559</b> | <b>1,668,160</b> | <b>12,616,581</b> |
| <b>TOTAL LIABILITIES &amp; EQUITY</b> | <b>12,117,459</b> | <b>1,416,724</b> | <b>1,765,605</b> | <b>15,299,788</b> |
| Land & Buildings                      | -                 | 185,000          | -                | <b>185,000</b>    |
| Furniture and Fittings                | 11,038            | 46,117           |                  | <b>57,155</b>     |
| Motor Vehicles                        | -                 | 46,672           | -                | <b>47,572</b>     |
| Computer Equipment                    | 1,467             | 21,744           | 2,603            | <b>25,814</b>     |
| Investments                           | -                 |                  | 20,000           | <b>20,000</b>     |
| Other                                 | 3,930             |                  | 26,572           | <b>30,502</b>     |
| <b>Total Non- Current Assets</b>      | <b>16,435</b>     | <b>299,533</b>   | <b>49,175</b>    | <b>365,143</b>    |
| Commission Receivable                 | 4,832,842         | 450,535          | -                | <b>5,283,377</b>  |
| Other Debtors & Inventory             | 2,430,240         | 124,440          | 1,492,531        | <b>8,301,126</b>  |
| Cash & Cash Equivalents               | 584,028           | 542,216          | 223,898          | <b>1,350,142</b>  |
| <b>Total Current Assets</b>           | <b>12,101,025</b> | <b>1,117,191</b> | <b>1,716,429</b> | <b>14,934,645</b> |
| <b>TOTAL ASSETS</b>                   | <b>12,117,460</b> | <b>1,416,724</b> | <b>1,765,605</b> | <b>15,299,789</b> |